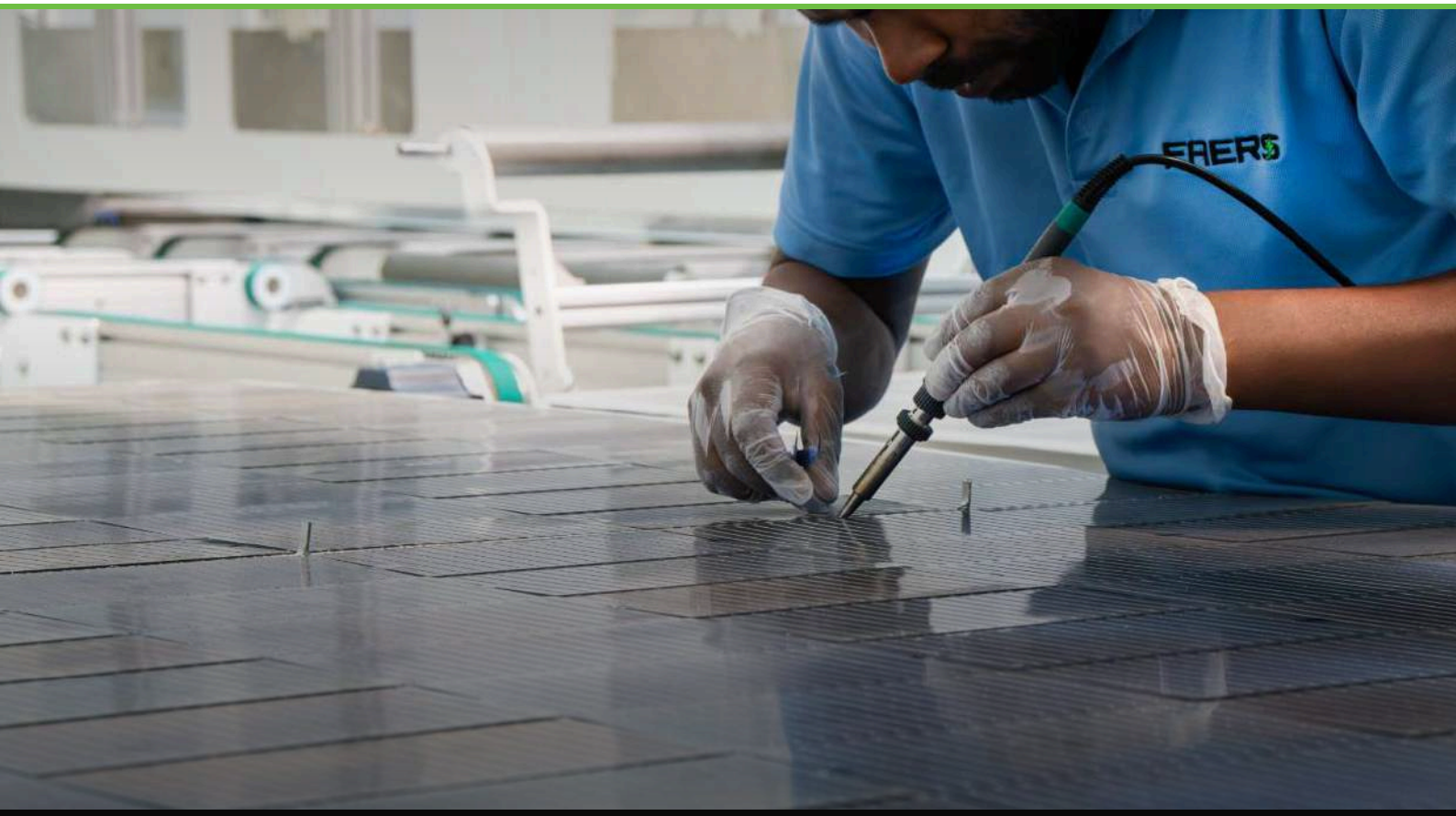
REPORTING ENTITY

PRODUCT BRAND

ENVIRONMENTAL · SOCIAL · GOVERNANCE | RAS AL KHAIMAH, UNITED ARAB EMIRATES



2025 ESG REPORT

A foundation, measured honestly.

ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC, trading as FAERS. The company's first environmental, social and governance disclosure, including selected operational and GHG data through April 2026.

Products manufactured under the **FAERS** brand



ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC

Trading as FAERS · Al Ghail Industrial Free Zone, Ras Al Khaimah, UAE

2025 ESG Report

Including selected operational and GHG data through April 2026. An initial available-data baseline for a first-year manufacturing operation.

REPORTING BASIS

2025 setup period, plus Oct 2025 to Apr 2026 operating data

PREPARED FOR

Management, banks, project counterparties and stakeholders

NEXT FULL REPORT

Full-year 2026 ESG & GHG report, January to February 2027

LEGAL NOTICE

Forward-Looking Statement and Disclaimer

This 2025 ESG Report ("this report") has been prepared by ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC ("Zakh", "the company") to describe its environmental, social and governance approach and initial performance data for the period from company setup in 2025 through the selected operational and GHG data available to April 2026.

This report contains forward-looking statements, including references to future ESG commitments, planned data collection improvements, and the intention to prepare a full-year 2026 ESG and GHG report in January to February 2027. These statements reflect Zakh's current plans and intentions as at the date of preparation and are not guarantees of future performance or outcomes. Actual results, timelines and data availability may differ from those described, depending on operational, regulatory, commercial, data-availability and market factors, including but not limited to the pace of production ramp-up, supplier and contractor engagement, utility billing cycles, and evolving UAE regulatory requirements.

This report is based on documents, records and data made available to the preparers at the time of preparation, including utility bills, a fuel account statement, ISO certification records, HR and HSE files, governance policies, financial and procurement registers, and production and quality documentation. Where data was incomplete or unavailable, this is stated explicitly, and estimates or screening figures are labelled accordingly (see Section 11 and Section 21).

Unless Zakh confirms otherwise in writing, this report has not been subject to independent external assurance or verification. Readers should not treat the figures, statements or commitments in this report as audited or independently assured unless a separate assurance statement is provided.

Nothing in this report should be interpreted as a guarantee of future performance, financing approval, regulatory compliance, tender qualification, or product certification by any bank, customer, regulator or other counterparty. Each institution applies its own due diligence and qualification criteria, and this report is intended to support, not replace, that process.

This report is provided for general informational purposes to support stakeholder understanding of Zakh's ESG approach. It does not constitute financial, legal or investment advice, and it is not a prospectus, offering document or solicitation of any kind.

About this Report

This section summarises the scope, boundary and basis of preparation of this report. Fuller detail on reporting boundary and methodology is provided in Section 7 (Reporting Boundary and Basis of Preparation).

Report title	2025 ESG Report
Reporting entity	ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC
Site / facility	Plot No. 26 and 56, Al Ghail Industrial Free Zone, Ras Al Khaimah, UAE
Parent / holding company	ZAKH Investment Group
Reporting boundary	Operational control
Reporting period	2025 setup period, with selected operational and GHG data through April 2026
Nature of this baseline	An initial available-data baseline, not a full calendar-year operating baseline. Commercial production commenced in January 2026, so a complete twelve-month operating record is not yet available.
Next report	Full-year 2026 ESG and GHG report, planned for January to February 2027, using complete calendar-year 2026 activity data
Assurance status	Not independently assured, unless management separately confirms assurance for a specific disclosure

DATA SOURCES USED IN PREPARING THIS REPORT

This report draws on the following categories of documents and data, reviewed as part of an ESG documentation exercise:

- ESG audit and documentation checklist and evidence folders.
- Utility bills (electricity and water) for the RAK facility.
- Fuel account statement for company vehicles.
- ISO 9001, ISO 14001 and ISO 45001 certificates and supporting documentation.
- HR and HSE files, including policies, training records and incident/near-miss procedures.
- Governance policies (code of conduct, anti-bribery, conflict of interest, whistleblower, data privacy, supplier code of conduct).
- Finance and procurement registers, including ESG CAPEX/OPEX, tax, insurance and training registers.
- Production, quality and calibration records.

A full list of evidence reviewed is provided in Appendix F.

Report at a Glance

ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC's first ESG report combines 2025 company setup and governance evidence with an initial operational and GHG baseline covering October 2025 to April 2026, the period for which utility, fuel and financial records were available following the start of commercial production in January 2026.

ENVIRONMENT

199,530 kWh
Measured electricity, Oct 2025 to Apr 2026

80.63 tCO2e
Scope 2 emissions (measured)

38.83 tCO2e
Scope 1 vehicle fuel (estimated)

Not quantified
Water — no billed consumption in utility bills reviewed

GHG / CARBON

119.46 tCO2e
Scope 1 + Scope 2 operational baseline

476.56 tCO2e
Indicative Scope 3 screening estimate

596.02 tCO2e
Screening total (S1+S2+indicative S3)

7 months
Available-data baseline period

> The Scope 3 figures above are indicative, spend-based screening estimates only, not a verified carbon footprint, and should not be used for target-setting until supplier, transport, material and waste activity data are collected (see Section 11.5).

SOCIAL

3

Management systems: 9001 / 14001 / 45001

HSE

Policy, PPE, incident & near-miss process

Training

Records and competence tracking in place

Grievance

Human rights & grievance mechanism

GOVERNANCE & QUALITY

10+

Governance policies in the evidence base

ISO 9001

Quality management system certified

600 MW

Stated annual production capacity

740 W

Module capability

How to read this report

This report is transparent about data maturity. Figures are labelled High, Medium or Low/Medium confidence depending on whether they come from metered utility bills, estimated fuel spend, or indicative, spend-based Scope 3 screening (not a verified carbon footprint, see note above). Full-year 2026 data will replace this baseline in the January to February 2027 report.

HIGH CONFIDENCE | MEDIUM | LOW / MEDIUM

Contents

Twenty-two sections and front matter. Each disclosure states the evidence behind it, so the report can be read as a record of what was measured rather than a summary of intent.

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FRONT MATTER

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HOW TO READ THIS REPORT

HIGH CONFIDENCE

Measured

Scope 2 electricity from utility bills for the October 2025 to April 2026 periods, and certification, policy and HSE evidence reviewed as documents.

MEDIUM

Estimated

Scope 1 vehicle fuel derived from a fuel account statement, and other figures covering a partial operating period rather than a full year.

LOW / MEDIUM

Not yet quantified

Scope 3 spend-based screening, waste quantities by type and route, and water, where the utility bills reviewed showed no billed consumption.



01

SECTION ONE

Executive Summary

Zakh's first structured sustainability disclosure: a solar PV module manufacturer under the FAERS brand, established in 2025, with commercial production commencing January 2026.

Zakh Renewable Energy and Engineering Manufacturing FZ-LLC ("Zakh") presents this 2025 ESG Report as the company's first structured sustainability disclosure. Zakh is a solar photovoltaic module manufacturer operating under the FAERS brand from a purpose-built facility at Al Ghail Industrial Free Zone, Ras Al Khaimah, United Arab Emirates. The company was established and set up during 2025, and commercial production of solar PV modules commenced in January 2026.

Because the company's operating history is short, this report is positioned deliberately: it is framed as the 2025 ESG Report, reflecting the year in which the company, its governance framework and its management systems were established, while transparently including selected operational and greenhouse gas (GHG) data through April 2026, the period for which utility bills, fuel records and financial data were available at the time of preparation. This is an initial available-data baseline, not a full calendar-year operational baseline. Zakh commits to preparing a full-year 2026 ESG and GHG report in January to February 2027, once complete twelve-month activity data is available.

The report draws on a substantial evidence base assembled during an ESG documentation review, including ISO 9001, ISO 14001 and ISO 45001 certification records, utility bills, a corporate fuel account statement, procurement and OPEX registers, HR and HSE documentation, governance policies, audited financial statements, and quality and production records. Where evidence was strong, notably measured electricity consumption, the report presents high-confidence figures. Where evidence was partial or unavailable, notably fuel litres, waste tonnes, water source confirmation and supplier-level data, the report says so plainly and sets out a concrete plan to close the gap during 2026.

> “This report does not claim more maturity than the evidence supports. It sets out what is measured, what is estimated, what is missing, and the concrete steps Zakh is taking to close each gap.”

Key messages

ENVIRONMENT	199,530 kWh of measured electricity consumption was recorded at the RAK facility across the available October 2025 to April 2026 billing periods, rising sharply from January 2026 as commercial production ramped up. Water bills show zero billed consumption in the available period. Waste and chemical management controls are in place, though quantified waste tracking is an identified improvement area.
GHG	The Scope 1 + Scope 2 operational baseline for the available-data period is 119.46 tCO2e (Scope 1: 38.83 tCO2e estimated from fuel spend; Scope 2: 80.63 tCO2e from measured electricity). An indicative Scope 3 screening estimate of 476.56 tCO2e is also presented, based on spend-based proxies, for transparency. This figure should not be used for target-setting.
SOCIAL	Zakh has documented health and safety, training, PPE, incident reporting, employee welfare, diversity, anti-harassment, grievance and human rights policies, supported by an ISO 45001 occupational health and safety framework.
GOVERNANCE	A governance evidence base covering corporate structure, code of conduct, anti-bribery, conflict of interest, whistleblowing, data privacy, supplier conduct and regulatory compliance is in place, with a clear roadmap to formalise ESG data ownership across functions in 2026.
QUALITY & CERTIFICATION	Zakh's manufacturing operations are supported by ISO 9001, ISO 14001 and ISO 45001 management systems, a documented quality manual, calibration and testing procedures, and product certifications, reflecting the manufacturing discipline that customers, banks and project counterparties expect from a solar PV supplier.

A CANDID FIRST REPORT

This report does not claim more maturity than the evidence supports. It does not use terms such as "net zero", "carbon neutral", "zero waste", "industry-leading", "fully sustainable" or "best in class", and it does not describe bankability or regulatory compliance outcomes as guaranteed, because these are not yet evidenced. Instead, it sets out what is measured, what is estimated, what is missing, and the concrete steps Zakh is taking to close each gap ahead of the full-year 2026 report.

This report is intended to be useful to a broad set of readers: Zakh's own management team tracking progress; banks and financiers conducting ESG-related due diligence; project counterparties and utilities assessing supplier readiness; and employees, suppliers and regulators who expect transparent, evidence-based reporting from a manufacturing business operating in the UAE's renewable energy sector.



02

LEADERSHIP

Al Ghail Industrial Free Zone, Ras Al Khaimah, UAE.

SECTION TWO

Leadership Message

Dear Stakeholders,

We are pleased to present ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC's 2025 ESG Report, including selected operational and GHG data through April 2026. This report marks an important step in documenting our sustainability approach, governance practices, operational controls, and environmental and social performance as we establish and scale our solar PV module manufacturing operations in the UAE.

At Zakh, we are proud to contribute to the UAE's transition toward a cleaner energy future. As a manufacturer of solar PV modules operating within the UAE's free zone ecosystem, we recognise that our work carries both commercial and environmental significance. Every module we produce supports the generation of renewable energy and contributes to the broader national energy transition by helping scale solar PV capacity. We take this responsibility seriously.

Our approach to manufacturing is grounded in internationally recognised management systems. Our ISO 9001 quality management system, ISO 14001 environmental management system, and ISO 45001 occupational health and safety management system provide the operational framework through which we manage risk, maintain product quality, and minimise our environmental footprint. These are not merely compliance credentials; they reflect our commitment to disciplined, responsible operations.

Our people are central to everything we do. We are committed to providing safe working conditions, investing in employee training and professional development, and fostering a culture of ethical conduct across all levels of our organisation. We hold ourselves to high standards of integrity in our dealings with customers, partners, investors, employees, suppliers, and the communities in which we operate.

This ESG Report marks an important step in our commitment to transparency and continuous improvement. We recognise that structured reporting enables accountability and supports better decision-making. We are candid that we are still strengthening our data systems, including those related to energy consumption, greenhouse gas emissions, water use, waste management, and supplier ESG information.

Looking ahead, our ambition is to build a resilient, responsible, and sustainable manufacturing business that contributes meaningfully to the energy transition while creating long-term value for stakeholders. We will continue to invest in our systems, our people, and our processes, and we welcome the accountability that ESG reporting brings.

Yours sincerely,

Raul Zakharyaev

Mr Raul Zakharyaev
CEO & Chairman
ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC

SECTION THREE

COO Message

Dear Stakeholders,

As part of ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC's 2025 ESG Report, I am pleased to share our operational perspective on responsible manufacturing, quality, safety, and environmental management.

Our operational priority is to manufacture reliable solar PV modules through disciplined processes, strong quality controls, and a safe working environment. As a manufacturing business supporting the UAE's renewable energy and decarbonisation efforts, we understand that sustainability must be reflected not only in the products we make, but also in the way we operate our facility, manage resources, and work with our people and partners.

Our production approach is supported by management systems based on the ISO 9001 quality management system, ISO 14001 environmental management system, and ISO 45001 occupational health and safety management system. These systems help guide day-to-day decision-making across production, quality assurance, maintenance, procurement, warehousing, and site operations.

For us, ESG is not separate from operations. It is connected to how efficiently we use energy, how safely our teams work, how carefully we manage materials and chemicals, how consistently we monitor quality, and how transparently we report performance. It is also reflected in practical routines such as employee training, workplace inspections, equipment calibration, material controls, and data collection across the facility.

Looking ahead, we will continue improving our manufacturing discipline, resource efficiency, employee training, supplier coordination, and operational data collection. These efforts will support long-term value creation for customers, partners, investors, employees, suppliers, and the communities in which we operate through disciplined operations.

Yours sincerely,

Marina Strateva

Marina Strateva
Chief Operating Officer
ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC



03

OPERATIONS

Marina Strateva, Chief Operating Officer.



04

OPERATIONS

Edgar Eldarov, Director of Operations.

SECTION FOUR

Director of Operations Message

Dear Stakeholders,

As Director of Operations at ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC, I am pleased to contribute to our 2025 ESG Report and to share how operational discipline supports our environmental, social and governance progress.

Our manufacturing activities depend on consistent processes, reliable equipment, safe working practices and careful coordination across production, quality, maintenance, HSE, warehouse and procurement functions. As our commercial production continues to scale, our priority is to strengthen the systems that allow us to manufacture solar PV modules safely, efficiently and consistently.

For us, operational performance and ESG performance are closely connected. Energy monitoring, material control, chemical handling, equipment calibration, workplace inspections, employee training, waste tracking and production quality are all part of the same operating discipline. The more consistently these activities are measured and documented, the stronger our ability becomes to improve performance and provide reliable information to customers, banks, project partners and regulators.

This first ESG report is an important step in formalising that approach. It reflects the evidence currently available and also identifies areas where our operating data will continue to improve, including fuel records, waste quantities, water-source confirmation, supplier information and production-intensity indicators.

Looking ahead, our focus is to support the full-year 2026 ESG and GHG reporting cycle by improving monthly data collection, strengthening accountability across operational teams and maintaining the documentation required for future audits, customer due diligence and project readiness.

Yours sincerely,

Edgar Eldarov

Edgar Eldarov
Director of Operations
ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC

SECTION FIVE

Chief Commercial Officer Message

Dear Stakeholders,

As Chief Commercial Officer of ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC, I am pleased to contribute to our 2025 ESG Report and to share the commercial perspective behind our approach to responsible growth, customer trust and long-term market readiness.

For a solar PV module manufacturer, commercial success depends on more than production capacity alone. Customers, banks, utilities, project developers and partners increasingly expect clear evidence of quality systems, reliable manufacturing controls, responsible sourcing, health and safety practices, environmental management and transparent emissions data. ESG reporting therefore supports how we build confidence in ZAKH as a credible manufacturing partner.

Our products are designed to contribute to renewable energy deployment, but our responsibility also extends to the way we operate, document performance and engage with the market. This report reflects our first structured step in presenting ZAKH's ESG evidence base, including our management systems, operational controls, initial GHG accounting, and the improvement areas we will continue to address as production scales.

From a commercial standpoint, the most important value of this report is transparency. It explains what has been measured, what has been estimated, and where stronger data systems are still being developed. This approach is important for customers and financial counterparties because it creates a clear basis for discussion, due diligence and continuous improvement rather than relying on unsupported claims.

Looking ahead, we will continue strengthening the information that customers and project stakeholders require, including supplier ESG data, product and quality documentation, logistics information, production-intensity indicators and full-year 2026 GHG reporting. These improvements will support future tenders, bankability reviews, customer engagement and responsible participation in renewable energy opportunities in the UAE and wider region.

We are committed to building ZAKH's commercial growth on disciplined operations, transparent reporting and long-term relationships with customers, partners, investors, suppliers and the communities in which we operate.

Yours sincerely,

Aron Davidov

Aron Davidov
Chief Commercial Officer
ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC



05
COMMERCIAL

Aron Davidov, Chief Commercial Officer.



06

SECTION SIX

About Zakh

ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC. A UAE free zone solar PV module manufacturer operating under the FAERS brand at Al Ghail Industrial Free Zone, Ras Al Khaimah.

ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC is a UAE free zone company focused on the manufacturing of solar photovoltaic modules. The company operates under the FAERS brand and is located at Al Ghail Industrial Free Zone, Ras Al Khaimah, UAE. The documentation reviewed identifies the company as a solar PV module manufacturer with a stated annual production capacity of approximately 600 MW and 740 W module capability.

The company is part of the wider ZAKH Group, with ZAKH Investment Group identified as the parent / holding company. For the purpose of this ESG report, the reporting entity is limited to ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC and the operations under its operational control at the Ras Al Khaimah facility. Other group entities are discussed only for corporate context and are not consolidated in the ESG or GHG boundary unless management later confirms a broader reporting scope.

Zakh operates in a sector where product quality, supply-chain reliability, environmental management, worker safety, and emissions transparency are increasingly important to customers, lenders, banks, utilities and project owners. This first ESG report is therefore positioned not only as a disclosure document, but also as a foundation for future commercial readiness and ESG due diligence.

Reporting entity: ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC · **Product brand:** FAERS

COMPANY PROFILE

Legal entity	ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC
Brand / trade name	FAERS
Legal form	Free Zone Limited Liability Company (FZ-LLC)
Location	Al Ghail Industrial Free Zone, Ras Al Khaimah, UAE
Industry	Renewable energy manufacturing; solar PV module manufacturing
Product / capacity	Solar PV modules, including 740 W modules; stated annual production capacity of approximately 600 MW
Parent / holding company	ZAKH Investment Group
Operational status	Setup commenced in 2025; commercial production commenced in January 2026 based on documents reviewed



The RAK production floor, where commercial module manufacturing commenced in January 2026.

REPORTING BOUNDARY

ZAKH Investment Group · Parent / holding — context only, excluded

ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC · Reporting entity

RAK manufacturing facility · Al Ghail Industrial Free Zone — included, operational control

ZAKH's ESG and GHG reporting boundary covers the Ras Al Khaimah manufacturing facility under operational control.

Why ESG reporting matters for Zakh

Solar PV manufacturing sits at the intersection of clean energy deployment, industrial manufacturing, supply-chain management and product quality assurance. Customers and project developers increasingly require documented evidence of environmental management, worker safety and emissions data before entering supply agreements. Banks and financiers apply ESG-related due diligence criteria when assessing manufacturing counterparties, particularly for renewable-energy supply chains. Utilities and public-sector procurement processes are increasingly requesting sustainability and compliance evidence as part of tender qualification. This report responds to each of these expectations with a transparent, evidence-based account of Zakh's first year of operations.

WHO READS THIS REPORT

- **Customers & project developers**
- **Banks & financiers**
- **Utilities & public-sector buyers**
- **Employees & suppliers**
- **Regulators & free zone authorities**

WHERE ZAKH OPERATES

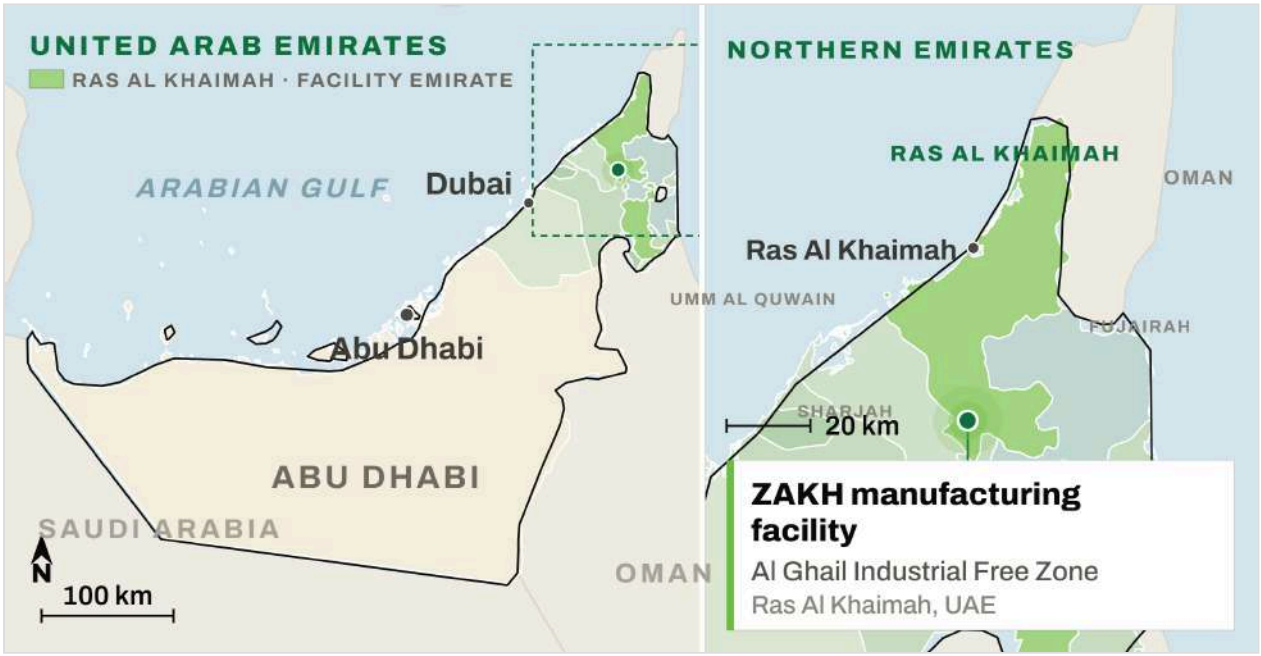


Figure 1. ZAKH's ESG and GHG reporting boundary covers the Ras Al Khaimah manufacturing facility under operational control.

07

SECTION SEVEN

Reporting Boundary & Basis of Preparation

The ESG and GHG reporting boundary has been prepared using an operational-control approach. Under this approach, the report covers the operations controlled by ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC at its Ras Al Khaimah manufacturing facility. This is the most appropriate approach for the first reporting cycle because the available operational evidence, utility bills, GHG activity data and site-level documents relate to this facility.

The report is framed as a 2025 ESG Report because the company setup, governance documentation, financial statements and early operating evidence relate to 2025. However, commercial production commenced in January 2026 and many operational ESG records, including electricity, production, quality, chemical and GHG data, are available through April or May 2026. The report therefore transparently includes selected 2026 operational information where it is necessary to explain the company's operating profile and initial ESG baseline.

REPORTING BOUNDARY SUMMARY

Reporting entity	ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC
Parent / group	ZAKH Investment Group is identified as parent / holding company; other ZAKH Group entities are excluded from this reporting boundary
Included site	Plot No. 26 and 56, Al Ghail Industrial Free Zone, Ras Al Khaimah, UAE
Boundary approach	Operational control
Reporting period	2025 setup period with selected operational and GHG data through April 2026
Excluded sites / entities	Other ZAKH Group entities, sister entities, branches and overseas operations unless management later confirms consolidation
Future reporting cycle	Full-year 2026 ESG and GHG report planned for January to February 2027

Data hierarchy used in this report

Consistent with good-practice ESG reporting, this report identifies the data hierarchy behind each disclosed figure: measured/metered, supplier-provided, calculated, or estimated. This distinction is carried through the GHG, environmental and social sections so that readers can judge the reliability of each figure.

DATA HIERARCHY TIER	DEFINITION	EXAMPLE IN THIS REPORT
Measured / metered	Read directly from a meter, bill or invoice	Electricity kWh from utility bills
Supplier / financial record	Taken from financial or supplier records without further conversion	Fuel account AED spend; procurement spend
Calculated	Measured or recorded activity data converted using a published emission factor	Scope 2 sc-camel-t-c-o2e = kWh x DEWA factor
Estimated	Activity data itself is estimated using an assumption because primary data was unavailable	Fuel litres estimated from AED spend and pump price
Modelled / screening	Indicative value derived from spend-based proxy factors, not activity-specific	Scope 3 indicative screening estimate

IMPORTANT REPORTING-PERIOD NOTE

The October 2025 to April 2026 GHG baseline is an initial available-data baseline. It should be refined and reset once complete 2026 activity data is available. This is a transparent approach because a normal calendar-year operational baseline is not yet available for Zakh as a newly established manufacturing operation.

AD

FROM THE LEADERSHIP MESSAGES

> “It explains what has been measured, what has been estimated, and where stronger data systems are still being developed.”

ARON DAVIDOV · CHIEF COMMERCIAL OFFICER

08

SECTION EIGHT

Business Context & ESG Approach

Moving from document-based ESG evidence toward a monthly ESG performance management system.

Solar PV manufacturing sits at the intersection of clean energy deployment, industrial manufacturing, supply-chain management and product quality assurance. For Zakh, ESG performance is therefore closely linked to operational discipline. A credible ESG approach requires more than a statement of intent; it requires reliable energy and fuel data, safe production practices, controlled chemical use, supplier oversight, quality systems, governance policies and continuous improvement.

This report reflects Zakh's early-stage ESG maturity. The company already has a substantial documentation base, including ISO certifications, policies, quality procedures, HR and HSE documents, financial records, utility bills, procurement and ESG finance registers. At the same time, the report openly identifies areas where data systems must be strengthened, especially fuel litres, waste quantities, supplier ESG information, transport activity data and full-year production intensity metrics.

The strategic objective is to move from document-based ESG evidence toward a monthly ESG performance management system. This would allow Zakh to support customer due diligence, bank financing reviews, utility or public-sector bid requirements, and future UAE climate-related reporting obligations with consistent data and management oversight.

HOW ZAKH APPROACHES ESG MATURITY

Evidence first

Disclosures in this report are grounded in documents reviewed, utility bills, certificates, policies, financial registers, rather than aspirational statements.

Transparent about gaps

Where data is estimated or unavailable, the report says so, rather than presenting estimates as if they were measured figures.

Roadmap-driven

Each identified gap is paired with a concrete FY2026 improvement action and an owning function.

Built for external use

The structure and content are designed to be usable by banks, project counterparties and regulators, not only for internal reference.

RZ

FROM THE LEADERSHIP MESSAGES

“Every module we produce supports the generation of renewable energy and contributes to the broader national energy transition by helping scale solar PV capacity.”

RAUL ZAKHARYAEV · CEO & CHAIRMAN

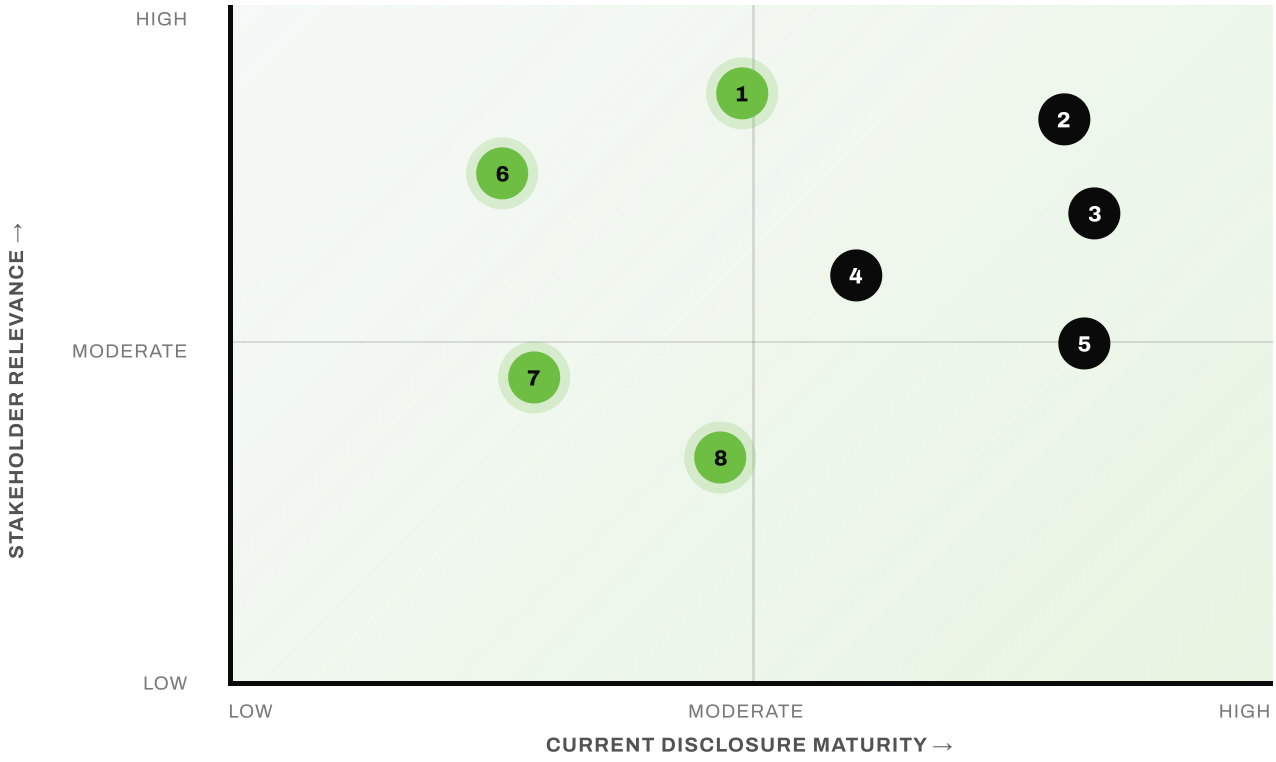
09

SECTION NINE

Materiality Assessment

For this first ESG report, Zakh has applied a management-led materiality assessment based on the ESG audit documents, the company's sector, manufacturing activities, regulatory context, and stakeholder expectations. The process is not presented as a full external stakeholder survey. Instead, it is an initial materiality screen designed to identify the ESG topics most relevant to a solar PV module manufacturer operating in the UAE.

The main stakeholder groups considered are customers and project owners, banks and financiers, employees, suppliers, regulators and free zone authorities, parent company leadership, and the communities in which the company operates. For future reports, Zakh should consider conducting a formal stakeholder-based materiality assessment and maintaining evidence of stakeholder inputs.



1 Climate & GHG emissions
2 Health & safety
3 Product quality
4 Governance & ethics
5 Energy management
6 Supplier management
7 Waste & materials
8 Water

HOW TO READ THIS MATRIX

- Priority topic with a current data or maturity gap
- Topic supported by established evidence today

Figure 2. Materiality matrix, positioning of Zakh's material ESG topics by stakeholder relevance and current disclosure maturity. Both axes run Low to High. Positioning reflects management judgement, not a quantitative survey.

Material topics and treatment in this report

MATERIAL TOPIC	STAKEHOLDER RELEVANCE	CURRENT REPORT TREATMENT	FUTURE IMPROVEMENT
Climate and GHG emissions	Banks, customers, regulators and project counterparties increasingly expect emissions transparency	Initial Scope 1, Scope 2 and indicative Scope 3 baseline disclosed	Full-year 2026 GHG inventory with improved activity data
Energy management	Electricity is the main measured operational energy source at the factory	Utility-bill based energy and Scope 2 accounting	Monthly energy dashboard and intensity tracking
Water management	Water is a sensitive resource in the UAE	Utility bills show zero billed water consumption in available period	Confirm water source/no connection and track any alternative water use
Waste and hazardous materials	Factory operations use chemicals and generate operational waste	Waste and chemical controls disclosed; waste quantities limited	Monthly waste register with kg/tonnes and disposal evidence
Health and safety	Factory workforce and production activities require strong safety controls	H&S policy, PPE, training, permits, incident forms and ISO 45001 disclosed	Safety KPI dashboard and action closure tracking
Product quality and certification	Solar customers and banks rely on product quality and certification	ISO 9001, calibration, quality KPIs and product certificates disclosed	Quality KPI trend reporting
Governance and ethics	Customers, banks and public-sector counterparties expect formal governance policies	Code of conduct, anti-bribery, whistleblower, COI, data privacy and supplier code disclosed	Annual governance review and policy attestation
Supplier management	Solar PV supply chains are material to quality, continuity and Scope 3	Supplier list and supplier code disclosed	Supplier ESG questionnaire and supplier origin / transport data

An initial materiality screen designed to identify the ESG topics most relevant to a solar PV module manufacturer operating in the UAE.

THE THREE PRIORITY GAPS THIS SCREEN IDENTIFIES

Climate & GHG data

High stakeholder relevance, but Scope 1 rests on spend-based fuel estimates and Scope 3 on screening factors. Full-year 2026 activity data is the fix.

Supplier ESG data

A supplier code and approved list exist, but country of origin, material and transport data are not yet collected from suppliers.

Waste quantification

Segregation is in practice on site, but kg/tonnes, disposal route and contractor documentation are not yet tracked, so waste stays qualitative.

ZAKH RENEWABLE ENERGY | FAERS

10

SECTION TEN · ENVIRONMENT

Environmental Performance

Supported by ISO 14001 certification and operational controls covering energy, emissions, waste, chemicals and facility management, each figure labelled with its underlying data quality.

Zakh's environmental approach is supported by ISO 14001 certification and by operational controls covering energy, emissions, waste, chemicals and facility management. The company's first reporting cycle focuses on establishing reliable data systems and identifying the gaps that need to be addressed for full-year 2026 reporting. This section presents energy, water, waste, chemicals, environmental spend and management-system information, each labelled with its underlying data quality.

10.1 Energy Management and Electricity Consumption

Electricity bills were available for the RAK manufacturing facility for the October 2025 through April 2026 available billing periods. The total measured electricity consumption extracted from the bills was 199,530 kWh. The bills relate to Plot No. 26 and 56, Premise No./MRU 2000343743/23309022, classified as Factory/Crusher and Industrial.

Electricity consumption increases significantly from January 2026 onward, which is consistent with the transition from setup activity to commercial production. This reinforces the need for Zakh to track energy intensity against production output, such as kWh per MW produced or kWh per panel, once full production data is available.

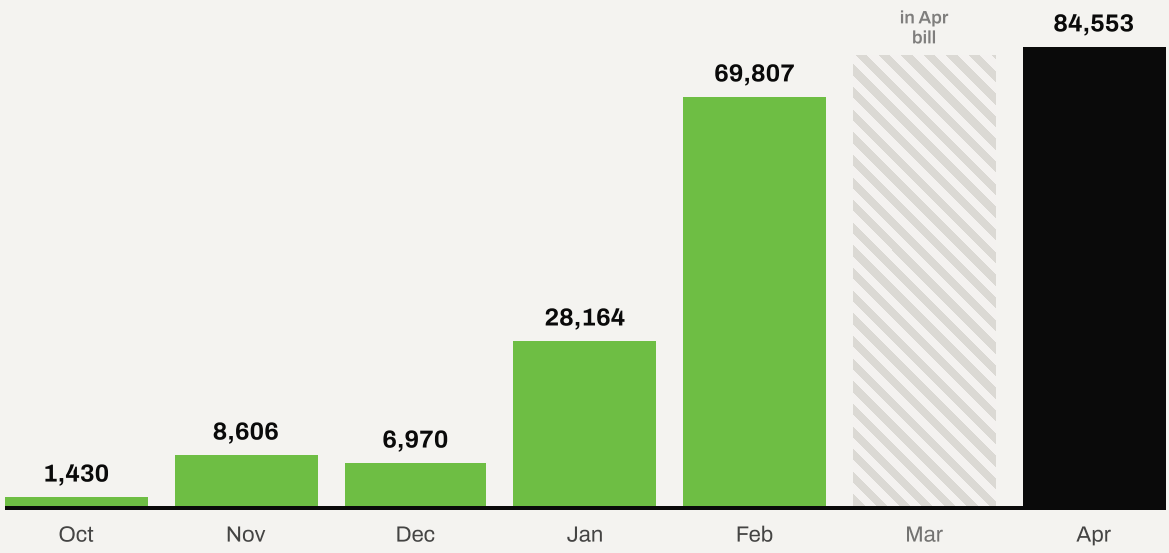


Figure 3. Monthly measured electricity consumption at the RAK facility, October 2025 to April 2026. No separate March bill was issued; that period is covered within the April bill (dated 27 Apr 2026, covering 18 Mar to 15 Apr 2026).

Monthly electricity consumption

BILLING PERIOD	ELECTRICITY (KWH)	INTERPRETATION
Oct-2025	1,430	Measured from utility bill for Plot No. 26 and 56 / Premise 2000343743.
Nov-2025	8,606	Measured from utility bill for Plot No. 26 and 56 / Premise 2000343743.
Dec-2025	6,970	Measured from utility bill for Plot No. 26 and 56 / Premise 2000343743.
Jan-2026	28,164	Measured from utility bill for Plot No. 26 and 56 / Premise 2000343743.
Feb-2026	69,807	Measured from utility bill for Plot No. 26 and 56 / Premise 2000343743.
Mar-2026	No separate bill	Covered within the April-period bill below.
Apr-2026	84,553	Bill dated 27 Apr 2026; covers 18 Mar to 15 Apr 2026 and is treated as April-period available data.
Total	**199,530**	Total measured electricity across the available billing periods.

10.2 Water Management

Water consumption is not quantified; the utility bills reviewed showed no billed consumption for the available period. This is disclosed as a utility-bill finding only and should not be interpreted as confirmation that no water was used from any possible source. For FY2026, ZAKH will maintain confirmation of water source/no-connection status and track any domestic, tanker or process water consumption if applicable.

For future reporting, Zakh will maintain explicit confirmation of water source, no-connection status, tanker water use if any, and any domestic or process water consumption records. This will ensure that water disclosures remain robust and auditable.

WATER DISCLOSURE BASIS

Not quantified — utility bills reviewed showed no billed consumption for the available period. This reflects the utility bills reviewed, not a verified statement of zero water use across all possible sources (for example tanker deliveries). Confirmation of water source and no-connection status is a FY2026 priority action.



10.3 Waste Management

Waste management evidence and environmental OPEX records were provided, including hazardous waste disposal spend. However, waste quantities by type, kg/tonnes, disposal route and contractor documentation were not fully available during the reporting period. Zakh therefore discloses waste management qualitatively in this first report and treats quantified waste tracking as a high-priority improvement for the 2026 reporting cycle.

Zakh will introduce a formal waste register for the factory. The register will record date, waste type, hazardous/non-hazardous classification, quantity, storage location, contractor, disposal or recycling route, manifest/certificate number, and responsible department. This will support both ESG reporting and regulatory readiness.

WASTE REGISTER TEMPLATE · TO BE ADOPTED FOR FY2026

FIELD	PURPOSE
Date	Establishes the reporting period for each waste event
Waste type	Enables categorisation (for example silicon scrap, solvent waste, packaging)
Hazardous / non-hazardous	Supports regulatory classification and disposal routing
Quantity (kg/tonnes)	Enables quantified Scope 3 and environmental KPI reporting
Storage location	Supports site safety and inspection readiness
Contractor	Identifies the licensed disposal or recycling contractor
Disposal / recycling route	Distinguishes recycling, reuse, incineration and landfill
Manifest / certificate number	Provides auditable evidence of lawful disposal
Responsible department	Assigns accountability for data capture

10.4 Hazardous Chemicals & SDS Management

The environmental evidence pack includes a hazardous chemicals list, chemical consumption calculations, and Safety Data Sheet (SDS) evidence. The chemical consumption workbook provides actual January to April 2026 consumption estimates for process chemicals and materials such as flux, IPA, solder wire and sealants. These records are useful for operational control and for future environmental data quality improvement.

Because chemical and material emissions factors are not yet linked to supplier-specific data, this report does not present detailed product carbon footprint calculations. Instead, chemicals and materials are disclosed as part of environmental management and future Scope 3 improvement planning.

10.5 Environmental CAPEX & OPEX

The report includes environmental capital and operating expenditure information drawn from the ESG OPEX register, including spend on delivery and transportation and on hazardous waste disposal. This financial evidence supports both environmental management narrative and the indicative Scope 3 screening in Section 11.5, and provides a foundation for a dedicated environmental CAPEX/OPEX tracking line in future reporting cycles.

10.6 ISO 14001 Environmental Management System

Zakh's environmental management approach is underpinned by its ISO 14001 environmental management system certification, supported by policies, procedures and operational controls covering energy, waste, chemicals and facility management. The ISO 14001 framework provides the structure through which environmental risks and improvement actions are identified, actioned and reviewed as the company scales production during 2026.

10.7 Future Environmental Data Improvement Commitments

ENVIRONMENTAL AREA	CURRENT EVIDENCE	DATA QUALITY	2026 IMPROVEMENT
Electricity	Monthly utility bills for RAK facility	HIGH	Collect full-year monthly electricity data and track intensity
Water	Utility bills show zero billed water	MEDIUM	Confirm water source and collect any alternative water records
Vehicle fuel	Fuel account AED transactions	LOW / MED	Collect litres, fuel type and vehicle-level records
Waste	Waste document and hazardous waste disposal spend	LOW	Track waste kg/tonnes by type and contractor evidence
Chemicals	Hazardous chemical list, SDS and chemical consumption workbook	MEDIUM	Maintain monthly chemical consumption and storage checks

Figure 4. Environmental data improvement roadmap for FY2026, by priority.

ZAKH RENEWABLE ENERGY | FAERS

11

SECTION ELEVEN · CARBON

GHG / Carbon Accounting

An initial GHG inventory aligned with the structure of the GHG Protocol, covering Scope 1, Scope 2 and an indicative Scope 3 screening estimate. A first available-data baseline, to be refined with full-year 2026 activity data.

Zakh has prepared an initial GHG inventory aligned with the structure of the GHG Protocol, covering Scope 1, Scope 2 and an indicative Scope 3 screening estimate where data was available. The inventory is a first available-data baseline and will be refined using full-year 2026 activity data.

The GHG boundary follows the ESG reporting boundary: ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC at the RAK manufacturing facility under operational control. Scope 1 covers direct emissions from company-controlled vehicle fuel based on the available fuel account statement. Scope 2 covers purchased electricity. Scope 3 is presented only as an indicative screening estimate using spend-based proxies where activity data is unavailable.

11.1 Methodology Overview

The GHG inventory follows a consistent six-step method, applied to the available-data baseline and designed to make the confidence level of every figure explicit.



Figure 5. GHG accounting methodology applied to the available-data baseline.

> "Scope 2 is based on measured utility data. Scope 3 is indicative only and should not be used for target-setting."

MS

FROM THE LEADERSHIP MESSAGES

"For us, ESG is not separate from operations."

MARINA STRATEVA · CHIEF OPERATING OFFICER

11.2 Scope 1 · Vehicle Fuel Emissions

The submitted fuel statement provides AED transaction values for a corporate prepaid fuel account but does not provide litres or fuel type. For this first baseline, Zakh estimates fuel litres from monthly AED spend using UAE monthly E-Plus 91 pump prices and applies the UK Government 2025 petrol conversion factor (2.06916 kgCO2e/litre, average biofuel blend). The estimated fuel activity is 18,767 litres, resulting in 38.83 tCO2e. This method should be replaced in the 2026 report with actual litres by vehicle and fuel type.

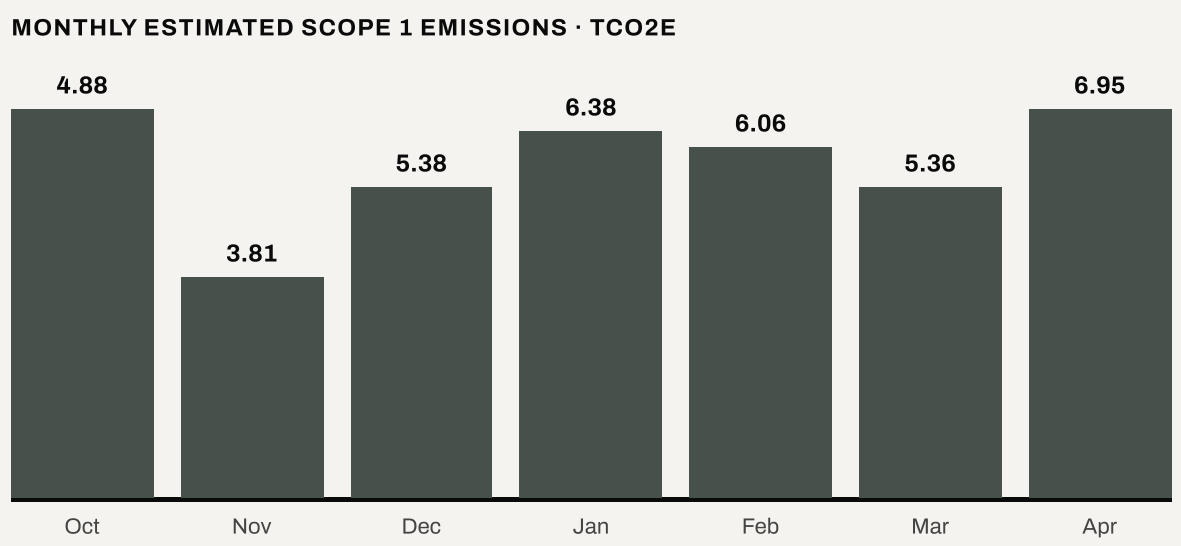


Figure 6. Monthly estimated Scope 1 vehicle fuel emissions, October 2025 to April 2026.

MONTH	FUEL SPEND (AED)	PUMP PRICE (AED/L)	ESTIMATED LITRES	TCO2E
Oct-2025	6,088.60	2.58	2,359.9	4.88
Nov-2025	4,495.52	2.44	1,842.4	3.81
Dec-2025	6,526.98	2.51	2,600.4	5.38
Jan-2026	7,217.63	2.34	3,084.5	6.38
Feb-2026	6,621.94	2.26	2,930.1	6.06
Mar-2026	6,217.96	2.40	2,590.8	5.36
Apr-2026	10,748.18	3.20	3,358.8	6.95
Total			**18,766.9**	**38.83**

Data quality: Low/Medium, spend-based estimate, not metered fuel consumption.

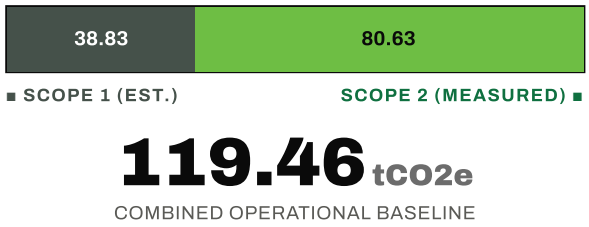
11.3 Scope 2 · Purchased Electricity Emissions

Scope 2 emissions are calculated from measured electricity bills. Total available electricity consumption was 199,530 kWh. A DEWA published proxy factor of 0.4041 kgCO2e/kWh is applied because a site-specific RAK grid factor was not available. Scope 2 emissions are therefore estimated at 80.63 tCO2e for the available reporting period.

MONTH	BILLING PERIOD	ELECTRICITY (KWH)	FACTOR	TCO2E	DATA QUALITY
Oct-2025	03/10/2025-15/10/2025	1,430	0.4041	0.58	HIGH
Nov-2025	16/10/2025-15/11/2025	8,606	0.4041	3.48	HIGH
Dec-2025	16/11/2025-15/12/2025	6,970	0.4041	2.82	HIGH
Jan-2026	16/12/2025-15/01/2026	28,164	0.4041	11.38	HIGH
Feb-2026	16/01/2026-15/02/2026	69,807	0.4041	28.21	HIGH
Apr-2026	18/03/2026-15/04/2026	84,553	0.4041	34.17	HIGH
Total		**199,530**		**80.63**	Measured

11.4 Scope 1 + Scope 2 Operational Baseline

Combining Scope 1 and Scope 2 gives an operational emissions baseline of 119.46 tCO2e for the available October 2025 to April 2026 reporting period. This baseline mixes a high-confidence measured Scope 2 figure with a lower-confidence estimated Scope 1 figure, and is presented as a mixed-quality baseline rather than a single uniform-confidence number.



Figures 7 & 8. Scope 1 versus Scope 2 emissions and the combined operational baseline (119.46 tCO2e), available-data baseline.

EE

FROM THE LEADERSHIP MESSAGES

"Energy monitoring, material control, chemical handling, equipment calibration, workplace inspections, employee training, waste tracking and production quality are all part of the same operating discipline."

EDGAR ELDAROV · DIRECTOR OF OPERATIONS

11.5 Scope 3 · Indicative Screening Estimate

Scope 3 is expected to become increasingly material as production scales, especially because solar PV manufacturing depends on international suppliers, raw materials, components, transport and waste management. The current report includes only a spend-based screening estimate for selected categories, using EPA Supply Chain GHG Emission Factors v1.2. This is not equivalent to a supplier-specific Scope 3 inventory and should be improved in the 2026 reporting cycle.

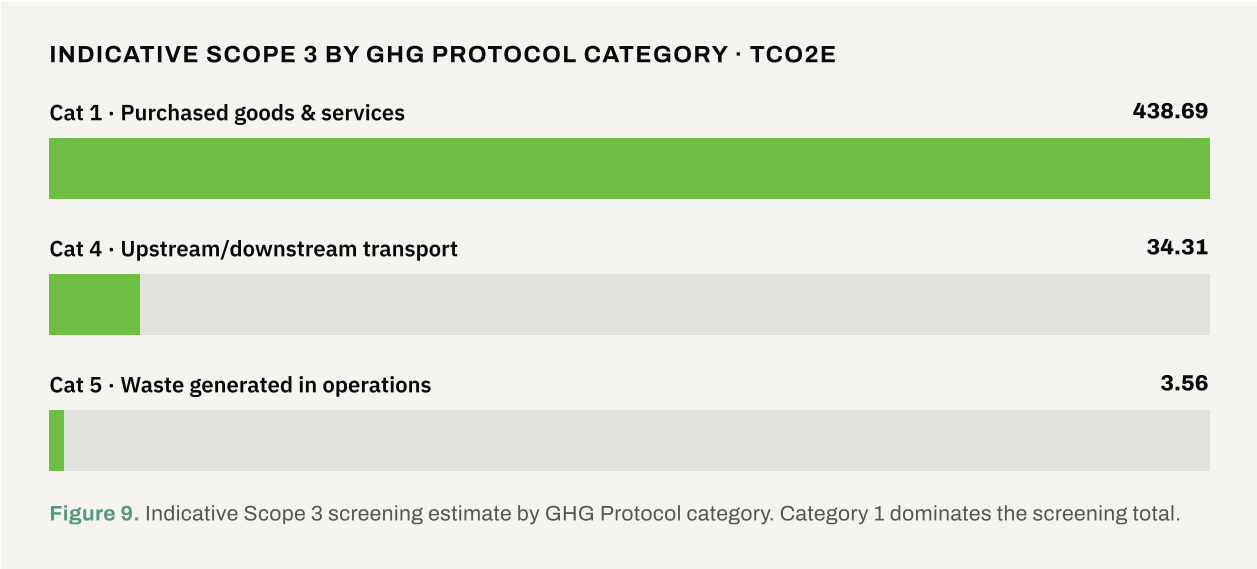


Figure 9. Indicative Scope 3 screening estimate by GHG Protocol category. Category 1 dominates the screening total.

SCOPE 3 CATEGORY	DATA USED	METHOD	INDICATIVE TCO2E
Cat 1 · Purchased goods and services	Trade payables + supplier prepayments at 31 Dec 2025	Spend-based proxy factor (NAICS 334413, semiconductor/related device manufacturing, used as proxy)	438.69
Cat 4 · Upstream/downstream transport	FY2025 ESG OPEX register, Delivery and Transportation	Spend-based proxy factor (General Freight Trucking, with margins)	34.31
Cat 5 · Waste generated in operations	Jan-May 2026 environmental OPEX, Hazardous Waste Disposal	Spend-based proxy factor (Hazardous Waste Treatment and Disposal, with margins)	3.56
Total indicative Scope 3			**476.56**

Data quality: Low, spend-based screening only; not a supplier-specific inventory.

11.6 Emission Factors Used

EMISSION SOURCE	EMISSION FACTOR	VALUE	SOURCE
Scope 2 · Purchased electricity	Grid emission factor	0.4041 kgCO2e/kWh	DEWA published factor via Climatiq (proxy for RAK site; site-specific RAK factor not available)
Scope 1 · Vehicle fuel (petrol)	Fuel combustion factor	2.06916 kgCO2e/litre	UK Government GHG Conversion Factors 2025, petrol average biofuel blend, litres
Scope 3 · Purchased goods and services	Spend-based factor	0.269 kgCO2e/USD	EPA Supply Chain GHG Emission Factors v1.2 (NAICS 334413 proxy)
Scope 3 · Transport	Spend-based factor	1.115 kgCO2e/USD	EPA Supply Chain GHG Emission Factors v1.2 (General Freight Trucking, with margins)
Scope 3 · Waste disposal	Spend-based factor	1.777 kgCO2e/USD	EPA Supply Chain GHG Emission Factors v1.2 (Hazardous Waste Treatment and Disposal, with margins)

AED/USD conversion assumption: 3.6725 (fixed UAE dirham peg).

11.7 Data Quality & GHG Summary

Scope 2 is based on measured utility data. Scope 1 vehicle fuel is estimated because the fuel statement provided AED spend but not actual litres or fuel type. Scope 3 is indicative only and should not be used for target-setting until supplier, transport, material and waste activity data is collected.

SCOPE	SOURCE	METHOD	DATA QUALITY	EMISSIONS
Scope 1	Company vehicle fuel	Fuel AED spend converted to estimated litres using UAE monthly pump price, then UK Government 2025 petrol factor	Low/Medium	38.83 tCO2e
Scope 2	Purchased electricity	Measured electricity kWh multiplied by DEWA published proxy grid factor of 0.4041 kgCO2e/kWh	**High**	80.63 tCO2e
Scope 1 + 2	Operational baseline	Available-data baseline for RAK facility	Mixed	**119.46 tCO2e**
Scope 3	Purchased goods, transport and waste screening	Spend-based EPA supply-chain factors; indicative only	Low	476.56 tCO2e
Scope 1+2+3	Screening total	Includes low-confidence Scope 3 estimates	Low/Mixed	**596.02 tCO2e**

Figure 10. Data quality / confidence rating by reporting area.

9.8 Assumptions and Limitations

Scope 1 fuel emissions are estimated from AED spend because actual litres and fuel type were not available in the submitted fuel statement.

Scope 2 electricity emissions are based on measured utility bills and a DEWA published proxy factor used for the RAK facility due to lack of a site-specific RAK emission factor.

Scope 3 values are indicative screening estimates based on spend data and should not be used for target-setting without improved activity data.

The AED/USD conversion rate of 3.6725 was used for Scope 3 spend-based calculations.

No refrigerant leakage or top-up records were identified for the facility's air-conditioning or HVAC systems; this is a potential additional Scope 1 source not yet assessed.

Reported figures cover the available October 2025 to April 2026 period and are not annualised or extrapolated to a full calendar year.

9.9 Future Baseline Reset for Full-Year 2026

This available-data baseline will be superseded by a full-year 2026 GHG inventory, to be prepared in January to February 2027. The 2026 inventory will use twelve months of activity data, actual fuel litres by vehicle, quantified waste data, and improved Scope 3 activity data where available. Zakh will treat the 2026 inventory as the primary baseline against which future-year performance and any future emissions targets are measured, rather than the partial-year 2025-2026 figures presented here.

> “119.46 tCO2e operational baseline. A high-confidence measured Scope 2 figure, alongside a lower-confidence estimated Scope 1, stated as what it is.”

ZAKH RENEWABLE ENERGY | FAERS

12



SECTION TWELVE · SOCIAL

Social Performance

Safe operations, skill development, compliant employment practices, welfare controls, and a culture in which employees can raise concerns, supported by an ISO 45001 framework.

Zakh's social performance framework is supported by HR records, health and safety documentation, training records, PPE evidence, incident and near-miss procedures, and policies covering diversity, anti-harassment, human rights, welfare and grievance mechanisms. The employee headcount workbook and HR documentation should be used to confirm final workforce metrics before publication.

For a manufacturing company, social performance is closely linked to safe operations, skill development, compliant employment practices, accommodation and welfare controls, and a culture in which employees can raise concerns. Zakh's evidence base shows that the company has begun to formalize these areas through policies, forms, training documents and operational HSE materials.

12.1 Workforce and Headcount

Zakh's workforce is being formalised through documented employment contracts and an HR headcount workbook covering the RAK manufacturing facility. As the company scales commercial production, workforce structure, including role, contract type, and where appropriate nationality and gender, should be tracked consistently to support both HR management and ESG disclosure. Final headcount figures should be confirmed by HR/management before external publication of this report.

12.2 Health and Safety Management

Health and safety management is a core operational priority at the RAK facility, supported by the company's ISO 45001 occupational health and safety management system. Documented evidence includes a health and safety policy, an emergency response plan, a PPE matrix, work permits, and incident and near-miss reporting procedures. These controls are designed to protect the manufacturing workforce across production, quality assurance, warehousing and maintenance activities.



HSE infrastructure at the RAK facility: first aid station, fire safety signage, on-site clinic and medical supplies.



12.3 Training and Competence

Training records, a training budget tracker, and a competence policy support the development of employee skills relevant to safe and quality-controlled manufacturing operations. Training coverage spans safety induction, equipment-specific competence, and quality procedures, and provides a foundation for tracking training hours by employee category in future reporting cycles.

12.4 PPE and Emergency Preparedness

Personal protective equipment (PPE) provision is governed by a documented PPE matrix aligned to task-specific risk, and is reinforced through the ISO 45001 management system. Emergency preparedness is supported by a documented emergency response plan covering the manufacturing facility, with associated procedures for evacuation, incident escalation and communication.

12.5 Incident and Near-Miss Reporting

Zakh maintains incident and near-miss reporting forms and procedures as part of its HSE management system. These records support early identification of safety risks and corrective action tracking. As the company's data systems mature, Zakh intends to track quantified safety indicators such as lost-time incident rate (LTIR), total recordable incident rate (TRIR), near-miss counts, and corrective action closure rates.

12.6 Employee Welfare and Insurance

Employee welfare is supported by insurance documentation, an employee handbook, and HR policies covering employment terms and conditions. These records demonstrate that welfare and labour compliance systems have been established as part of the company's HR framework, and provide the basis for tracking welfare and insurance-coverage indicators in future reports.

12.7 Diversity, Grievance & Human Rights

Zakh has documented policies covering diversity, anti-harassment, grievance handling and human rights. These policies establish expectations for respectful and lawful employment practices across the organisation, and provide employees with a defined channel to raise concerns. Formal tracking of grievance case volumes and closure status is identified as a future social KPI.

12.8 Future Social KPIs to Track in 2026

SOCIAL TOPIC	EVIDENCE REVIEWED	CURRENT NARRATIVE	FUTURE METRIC
Workforce	Employee headcount workbook and contract evidence	Workforce structure is documented and should be confirmed before final publication	Headcount by gender, role, contract type and nationality where appropriate
Health and safety	H&S policy, emergency response plan, PPE matrix, permits, incident and near-miss process	Safety management is a core operational priority and supported by ISO 45001	LTIR, TRIR, near misses, corrective actions closed
Training	Training records, training budget tracker, competence policy	Training and competence development support operational readiness	Training hours by employee/category
Employee welfare	Insurance documents, handbook, HR policies	Employee welfare and labour compliance systems are documented	Insurance coverage and welfare indicators
Human rights and grievance	Human rights policy, anti-harassment and grievance policy	Policies establish expectations for respectful and lawful employment practices	Grievance cases and closure status

45001

ISO 45001 OCCUPATIONAL HEALTH & SAFETY

The occupational health and safety management system provides the operational framework for protecting the manufacturing workforce across production, quality assurance, warehousing and maintenance activities.

EE

FROM THE LEADERSHIP MESSAGES

"Our focus is to support the full-year 2026 ESG and GHG reporting cycle by improving monthly data collection, strengthening accountability across operational teams and maintaining the documentation required for future audits, customer due diligence and project readiness."

EDGAR ELDAROV · DIRECTOR OF OPERATIONS

ZAKH RENEWABLE ENERGY | FAERS

13



SECTION THIRTEEN · GOVERNANCE

Governance & Ethics

A governance evidence base spanning corporate structure, ethics, anti-bribery, conflicts of interest, whistleblowing, data privacy, supplier conduct and regulatory compliance.

Zakh has developed a governance evidence base that includes corporate licences, corporate structure, board/governance documentation, internal policy registers, and policies covering ethics, anti-bribery, conflicts of interest, whistleblowing, data privacy, supplier conduct and regulatory compliance. This governance foundation is important for customers, project partners, banks and public-sector counterparties.

Governance is also important because ESG data quality depends on assigned responsibilities and consistent documentation. The next step for Zakh is to formalize ownership of ESG metrics across Finance, HR, Production, Quality, HSE, Procurement, Legal and Operations. This will allow ESG reporting to become a recurring management process rather than a one-time document collection exercise.

TARGET ESG GOVERNANCE STRUCTURE FOR 2026

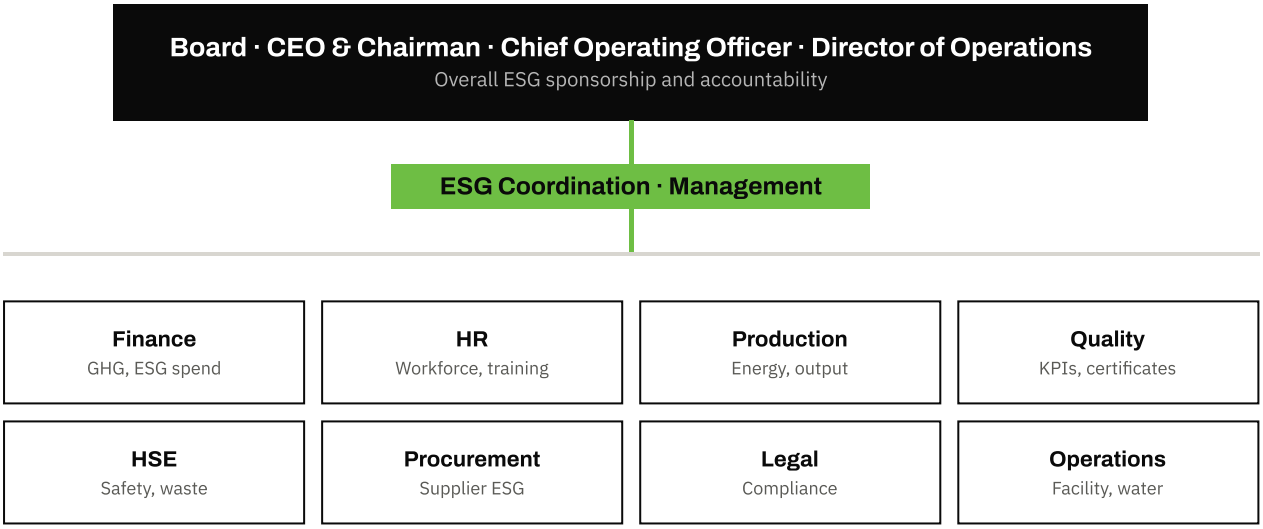
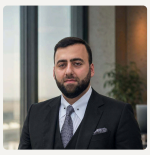


Figure 11. Target ESG governance structure for 2026, showing accountability from Board level through functional data owners.



EXECUTIVE LEADERSHIP

Executive leadership provides oversight and day-to-day direction for ESG implementation. The CEO & Chairman provides overall leadership and accountability, the Chief Operating Officer supports operational ESG integration, the Director of Operations supports production discipline, facility coordination and data collection, and the Chief Commercial Officer supports customer and market-facing ESG credibility. During 2026, ZAKH will formalise ESG responsibilities across Finance, HR, Production, Quality, HSE, Procurement, Legal and Operations.

Aron Davidov · Chief Commercial Officer

Governance framework in detail

13.1 Corporate Structure
A corporate structure workbook and supporting materials clarify the relationship between Zakh and its parent, ZAKH Investment Group, defining the reporting boundary used throughout this report (see Section 7) and reviewed annually as the group structure evolves.

13.2 ESG Governance Responsibilities
ESG governance currently sits with senior management, with the Chairman and Chief Operating Officer providing sponsorship. The 2026 priority is a formal ownership matrix assigning named data owners in Finance, HR, Production, Quality, HSE, Procurement and Legal.

13.3 Code of Conduct
A Code of Conduct defines expected standards of behaviour and integrity for employees, management and business partners, setting the tone for ethical decision-making across procurement, sales, customer relationships and day-to-day operations.

13.4 Anti-Bribery and Anti-Corruption
An Anti-Corruption and Anti-Bribery Policy sets out expectations regarding gifts, facilitation payments, dealings with public officials and third parties, and consequences of breaches. It is a standard element of lender and counterparty due diligence packages.

13.5 Conflict of Interest
A Conflict of Interest Policy requires employees and management to disclose situations where personal interests could conflict with the company's interests, supporting transparent decision-making in procurement, hiring and supplier selection.

13.6 Whistleblower Mechanism
A Whistleblower Policy provides a channel for employees and stakeholders to report suspected misconduct, with an expectation of confidentiality and non-retaliation. Formal case logging and closure tracking is a 2026 governance enhancement.

13.7 Data Privacy and IT Security
A Data Privacy and IT Security Policy establishes expectations for handling personal and business-sensitive information and for information security controls. As data systems become more integrated, IT controls and incident tracking grow in importance.

13.8 Supplier Code of Conduct
A Supplier Code of Conduct and an approved supplier list establish baseline expectations for suppliers regarding quality, ethics and compliance, the foundation on which the FY2026 supplier ESG questionnaire (see Section 17) will be built.

13.9 Regulatory Compliance
A regulatory compliance log tracks applicable licences, permits and regulatory obligations relevant to operating in the Al Ghail Industrial Free Zone. Periodic review against current free zone, environmental and labour regulations supports ongoing compliance readiness.

13.10 Litigation and Disputes Log
A litigation and disputes log tracks any legal proceedings or disputes relevant to the company. Maintaining this log on a current basis supports transparent disclosure to banks and counterparties during due diligence.

13.11 UAE Climate Law Readiness
Zakh monitors developments under UAE Federal Decree-Law No. 11 of 2024 on the Reduction of Climate Change Effects and is preparing its emissions data and internal processes to support applicable reporting requirements. Section 19 sets out this topic in more detail.

Governance evidence summary

GOVERNANCE AREA	EVIDENCE / POLICY	PURPOSE	FUTURE ENHANCEMENT
Corporate structure	Corporate structure workbook and detailed PDF	Clarifies group relationship and reporting boundary	Annual boundary review
Ethics and compliance	Code of Conduct; Anti-Corruption and Anti-Bribery Policy	Defines expected conduct and integrity controls	Annual attestation / training
Conflict and reporting	Conflict of Interest Policy; Whistleblower Policy	Supports disclosure, investigation and non-retaliation	Case log and closure tracking
Data governance	Data Privacy and IT Security Policy	Supports information security and data privacy expectations	IT controls and incident tracking
Supplier governance	Supplier Code of Conduct; approved supplier list	Establishes expectations for supplier conduct and quality	Supplier ESG questionnaire
Legal compliance	Regulatory compliance log; litigation and disputes log	Supports compliance monitoring and legal risk oversight	Periodic legal compliance review

> "ESG reporting becomes a recurring management process rather than a one-time document collection exercise."

RZ

FROM THE LEADERSHIP MESSAGES

"We hold ourselves to high standards of integrity in our dealings with customers, partners, investors, employees, suppliers, and the communities in which we operate."

RAUL ZAKHARYAEV · CEO & CHAIRMAN

ZAKH RENEWABLE ENERGY | FAERS

14

SECTION FOURTEEN · QUALITY

Quality, Certifications & Production

Building manufacturing operations on documented systems rather than informal controls, ISO certificates, quality manual, calibration, product certifications and testing.

Product quality and manufacturing discipline are central to Zakh's ESG and commercial profile. For a solar PV module manufacturer, quality management is directly linked to product reliability, customer trust, warranty risk, bankability and acceptance by large project counterparties.

The documentation reviewed includes ISO certificates, quality manual, process flow, product certifications, calibration records, quality KPI materials, customer complaint processes, internal audit evidence and supplier management documentation. These records support the narrative that Zakh is building its manufacturing operations on documented systems rather than informal controls.

14.1 ISO 9001, 14001 & 45001 Overview

Zakh's manufacturing operations are certified against three internationally recognised management system standards: ISO 9001 (quality), ISO 14001 (environmental) and ISO 45001 (occupational health and safety). Together they provide the operational backbone for consistent process control, environmental management and worker safety across the facility.

14.2 Quality Manual and Process Controls

A documented quality manual and process flow define the controls applied across incoming material inspection, production, in-process quality checks, final testing and outgoing inspection. These controls ensure consistent module quality and provide traceability in the event of a quality investigation or customer complaint.

14.3 Calibration and Testing

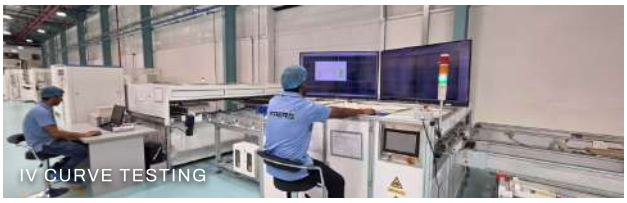
Calibration logs and testing procedures support the accuracy of measurement and test equipment used in production and quality assurance. Regular calibration is a standard requirement for ISO 9001-certified manufacturing operations and supports confidence in reported product performance data.

14.4 Product Certifications

Zakh's solar PV modules are supported by product and sector certificates, including TUV-related product certification evidence. Product certification is a prerequisite for market acceptance by many project developers, EPC contractors and utilities, and supports the bankability of projects using Zakh modules.


HI-POT TESTING


EL TESTING


IV CURVE TESTING



SUN SIMULATOR



FINISHED MODULES, READY FOR DISPATCH

14.5 Supplier List and Management

An approved supplier list and supplier management documentation support consistent sourcing of materials and components. As described in Sections 11.8 and 15, Zakh intends to extend supplier management to include ESG screening, country-of-origin data and logistics information during 2026.

14.6 Customer Complaint Process

A documented complaint procedure and complaint log demonstrate that Zakh has a structured process for receiving, investigating and resolving customer complaints. This supports continuous quality improvement and provides an auditable record for customer and lender due diligence.

14.7 Quality KPI Tracking

Quality KPI materials indicate that Zakh tracks quality-related performance indicators as part of its management system. Formalising quarterly quality KPI trend reporting, covering metrics such as first-pass yield, defect rate and complaint closure time, is a near-term improvement action.

14.8 Manufacturing Discipline & Bankability

For banks, developers and utilities assessing a module supplier, manufacturing discipline, documented quality systems, calibrated equipment, product certification and complaint management, is often as material as price and delivery terms. Zakh's ISO-certified systems are presented as evidence of that discipline (see Section 18).

Certifications and quality systems summary

CERTIFICATION / SYSTEM	STATUS IN REPORT	ESG AND COMMERCIAL RELEVANCE
ISO 9001 quality management	Certificate and quality documentation provided	Supports consistent process control, quality governance and customer confidence
ISO 14001 environmental management	Certificate and supporting documentation provided	Supports environmental management framework
ISO 45001 occupational H&S	Certificate provided	Supports worker safety and H&S management
Product / sector certificates	TUV / product-related certificates provided	Supports quality and market acceptance
Calibration and testing	Calibration logs and testing procedures provided	Supports accuracy, quality assurance and operational control
Customer complaints	Complaint procedure and complaint log evidence provided	Supports customer responsiveness and quality improvement



15

SECTION FIFTEEN · CLIMATE

Climate-Related Risks & Opportunities

A first qualitative, management-led assessment based on one year of operations. It does not include quantified financial impacts, which Zakh has not yet modelled.

This section sets out Zakh's first qualitative assessment of climate-related risks and opportunities relevant to its solar PV manufacturing business. It is an initial, management-led assessment based on the company's first year of operations and does not include quantified financial impacts, which would require a level of scenario analysis and historical data Zakh does not yet have. As data systems mature, Zakh intends to develop this assessment further, consistent with its UAE climate law readiness commitments (see Section 19).

15.1 Transition Risks

RISK AREA	DESCRIPTION
Regulatory change	Evolving UAE climate-related reporting requirements under Federal Decree-Law No. 11 of 2024 and related MOCCAE guidance could increase the scope and rigour of future disclosure obligations.
Customer and lender ESG expectations	Banks, project developers and utilities are increasingly requesting emissions data, supplier ESG information and quality evidence as part of due diligence and tender processes; gaps in readiness could affect commercial opportunities.
Carbon data requirements	As GHG reporting expectations mature, Zakh may be asked to provide more granular, verified emissions data (for example by product, by customer shipment) than the available-data baseline in this report currently supports.
Supply-chain scrutiny	Solar PV supply chains face increasing scrutiny regarding material origin, responsible sourcing and embedded emissions; limited supplier-level data is a current constraint (see Section 17).

15.2 Operational Risks

RISK AREA	DESCRIPTION
Energy cost exposure	Electricity is the facility's main measured operational energy source; rising electricity costs or tariff changes could affect operating costs as production scales.
Data gaps	Estimated (rather than metered) Scope 1 fuel data and indicative Scope 3 screening limit Zakh's current ability to precisely quantify and manage its emissions footprint.
Waste documentation gaps	Incomplete waste quantity and disposal-route records limit Zakh's ability to demonstrate environmental compliance and track waste-reduction progress.
Supplier traceability	Limited visibility into supplier country of origin, material composition and logistics data constrains Zakh's ability to assess upstream environmental and human-rights risk.

15.3 Opportunities

01 **Renewable energy demand**
Continued growth in UAE and regional demand for solar PV capacity supports long-term demand for Zakh's products.

02 **UAE energy transition**
Zakh's manufacturing activity directly supports the UAE's national energy transition and diversification objectives.

03 **Bankability and project readiness**
A more complete ESG and GHG evidence base, built out over 2026, can support engagement with banks, utilities and project developers on future opportunities.

04 **Quality-certified manufacturing**
Zakh's ISO 9001, ISO 14001 and ISO 45001 certifications and documented quality systems position it to compete on manufacturing discipline, not price alone.

05 **Improved ESG data systems**
The data-collection roadmap set out in this report (Section 20) is expected to improve decision-useful information for both management and external stakeholders over time.

A FIRST-YEAR, QUALITATIVE ASSESSMENT

This assessment reflects management judgement based on one year of operating experience. It does not include financial quantification of climate risk, which Zakh has not yet modelled, and should not be read as a comprehensive climate scenario analysis.

SECTION SIXTEEN

16 Circular Economy & Product End-of-Life

Circularity is relevant to Zakh both in its manufacturing process (materials, scrap and packaging) and in the eventual end-of-life of the solar PV modules it produces. This section describes Zakh's current practices and awareness in this area, and is deliberately careful not to overstate maturity: Zakh does not currently operate a dedicated product take-back or recycling programme, and this report does not claim one.

16.1 Material Efficiency and Scrap Tracking

Production and chemical consumption records reviewed for this report (see Section 10.4 and Appendix C) provide a starting point for tracking material use, including process chemicals and materials such as flux, IPA, solder wire and sealants. Formal tracking of scrap rate and yield at a production-line level is not yet established as a recurring metric; Zakh will work toward introducing this as part of its 2026 data improvement programme.

16.2 Packaging and Warehouse Waste

Packaging materials used in receiving raw materials and components, and in preparing finished modules for dispatch, are a source of warehouse waste that is not yet separately quantified. This is identified as an area for improvement alongside the wider waste register described in Section 10.3 and Section 20.



Colour-coded waste segregation in use at the facility today. This illustrates the current segregation practice, not a full recycling programme.

MS

FROM THE LEADERSHIP MESSAGES

"It is connected to how efficiently we use energy, how safely our teams work, how carefully we manage materials and chemicals, how consistently we monitor quality, and how transparently we report performance."

MARINA STRATEVA · CHIEF OPERATING OFFICER


WASTE SEGREGATION AREA, WAREHOUSE

16.3 Chemical Handling and Hazardous Waste Controls

As described in Section 10.4, Zakh maintains a hazardous chemicals list, Safety Data Sheet (SDS) evidence, and chemical consumption records for process chemicals. Hazardous waste disposal spend is recorded in the ESG OPEX register and forms part of the indicative Scope 3 screening in Section 11.5. Quantities by waste type and disposal route are not yet fully tracked (see Section 21).

16.4 Future Waste Register and Disposal Certificate Tracking

As set out in Section 10.3, Zakh plans to introduce a formal waste register recording date, waste type, hazardous/non-hazardous classification, quantity, storage location, contractor, disposal or recycling route, and manifest/certificate number. This will allow Zakh to report quantified recycling and disposal-route data in the full-year 2026 report.

16.5 Product End-of-Life Awareness

Solar PV modules have a multi-decade service life, after which end-of-life management, including potential recycling of glass, aluminium framing, and recoverable materials, is an emerging area of focus for the solar manufacturing sector generally. Zakh is aware of this issue as a long-term consideration for its product line. At this stage, Zakh does not operate a product take-back or module recycling programme, and this report does not claim one. Zakh will continue to monitor developing industry and regulatory practice on module end-of-life management and will consider supplier and customer engagement on this topic as its ESG programme matures.

CAREFUL FRAMING

Zakh does not claim an active recycling programme, a closed-loop material system, or a "zero waste" outcome. Circularity practices described in this section reflect current awareness and planned tracking improvements, not established, fully-evidenced programmes.

17

SECTION SEVENTEEN

Responsible Supply Chain



MODULE INSPECTION DURING A TRAINING SESSION

Responsible supply chain management is increasingly material to solar PV manufacturers, both because upstream materials and components can drive a significant share of value-chain emissions and human-rights risk, and because customers, banks and project counterparties increasingly expect visibility into supplier practices. This section consolidates Zakh's current supplier governance evidence and sets out the supplier ESG programme planned for 2026.

17.1 Supplier Code of Conduct

Zakh has a documented Supplier Code of Conduct that sets out baseline expectations for suppliers regarding quality, ethics and compliance. This code forms the foundation for the expanded supplier ESG programme described below.

17.2 Approved Supplier List

Zakh maintains an approved supplier list as part of its procurement and quality management processes. This list supports consistent sourcing and provides the starting population for the supplier ESG questionnaire programme planned for 2026.

17.3 Supplier ESG Questionnaire, a 2026 Commitment

Zakh will introduce a supplier ESG questionnaire during 2026, issued to key suppliers, collecting at minimum: country of origin, key material data, logistics and transport information, and supplier self-declarations on labour, environment and ethics. A planned programme, not a practice already in place.

AD

FROM THE LEADERSHIP MESSAGES

“Customers, banks, utilities, project developers and partners increasingly expect clear evidence of quality systems, reliable manufacturing controls, responsible sourcing, health and safety practices, environmental management and transparent emissions data.”

ARON DAVIDOV · CHIEF COMMERCIAL OFFICER

17.4 Supplier Country of Origin and Material Data

Country-of-origin and key material data for suppliers is not yet systematically collected. Zakh plans to collect this information through the 2026 supplier ESG questionnaire and enhanced procurement records, to improve both supply-chain risk visibility and the accuracy of future Scope 3 estimates (see Section 11.5).

17.5 Transport and Logistics Data

Transport and logistics activity data (distance, mode, weight, Incoterms) is not yet collected at shipment level; the current indicative Scope 3 transport estimate (Section 11.5) is a spend-based proxy. Zakh plans to collect shipment-level logistics data from key suppliers and logistics providers during 2026, as set out in Appendix E.

17.6 Responsible Sourcing and Conflict Minerals Screening

Certain components used in solar PV module manufacturing can contain materials subject to responsible-sourcing or conflict-minerals considerations in some jurisdictions and customer programmes. Zakh has not yet conducted a formal conflict-minerals or responsible-sourcing screening of its supply chain. This is identified as a future due-diligence step, to be scoped as part of the 2026 supplier ESG programme, informed by the country-of-origin and material data collected through the supplier questionnaire.

17.7 Supplier ESG Audits, a Future Maturity Step

Zakh does not currently conduct supplier ESG audits. Supplier ESG audits, whether performed directly or via a qualified third party, are identified as a longer-term maturity step, to be considered once the supplier ESG questionnaire programme (Section 17.3) has established a baseline of supplier-level information. This report does not claim that supplier audits are an existing practice.

Responsible supply chain roadmap summary

TOPIC	CURRENT STATUS	2026 AND FUTURE STEP
Supplier code of conduct	**In place**	Annual review alongside governance policy review
Approved supplier list	**In place**	Used as the base population for the ESG questionnaire
Supplier ESG questionnaire	Not yet issued	Zakh will issue to key suppliers during 2026
Country of origin / material data	Not systematically collected	Collected via 2026 questionnaire and procurement records
Transport / logistics data	Not collected at shipment level	Collected from key suppliers and logistics providers during 2026
Responsible sourcing / conflict minerals	Not yet conducted	Scoped as part of the 2026 supplier ESG programme
Supplier ESG audits	Not yet conducted	Future maturity step, considered after the questionnaire baseline is established



18

SECTION EIGHTEEN · FINANCE

ESG Finance & Bankability

A lender-ready ESG evidence file: traceable documentation, not only high-level statements, to support bank, customer and project-counterparty due diligence.

The report includes ESG-relevant financial information such as audited financial statements, ESG CAPEX, ESG OPEX, tax registers, insurance documentation, procurement spend, training expenses and CAPEX tagging methodology. These records support transparency and help position Zakh for lender, bank and project-counterparty due diligence.

For future bankability and participation in large UAE renewable energy opportunities, including with utilities, banks and major project developers, Zakh will maintain a lender-ready ESG evidence file. This will include governance policies, ISO certificates, product certifications, GHG inventory, utility bills, fuel and waste records, HSE records, supplier due diligence, quality KPIs, customer complaint logs, calibration evidence and legal compliance records.

This type of evidence pack will support engagement with banks and project counterparties because it shows that the company can provide traceable ESG documentation, not only high-level statements. It will also help prepare Zakh for future procurement requirements where ESG, emissions and supply-chain information are requested during tender or financing due diligence.

How this report supports bankability and readiness

Due diligence
Consolidates governance, environmental, social and quality evidence into a single reference document usable in bank and counterparty due diligence processes.

Lender confidence
Transparent treatment of data quality, clearly separating measured from estimated figures, is consistent with the standard expected in lender ESG due diligence.

Supplier / customer assurance
Documented quality, HSE and governance systems support customer and project-counterparty confidence in Zakh as a manufacturing partner.

Tender readiness
The evidence base assembled for this report can be reused to respond to utility and public-sector tender ESG questionnaires.

Regulatory readiness
The governance and compliance evidence supports ongoing readiness for UAE free zone and environmental regulatory requirements.

Climate data preparedness
The GHG baseline in Section 11 is an initial step toward the emissions data systems that UAE climate reporting requirements are expected to require (see Section 19).

READINESS, NOT GUARANTEED QUALIFICATION

This report is intended to demonstrate improving ESG readiness and documentation discipline. It does not represent a guarantee of financing approval, tender qualification, or compliance certification by any specific bank, counterparty or regulator. Each institution applies its own due diligence criteria.

19

SECTION NINETEEN

UAE Climate Law Readiness



Building emissions data systems before external reporting is requested.

Zakh is committed to monitoring developments under UAE Federal Decree-Law No. 11 of 2024 on the Reduction of Climate Change Effects and to preparing its emissions data and internal processes to support applicable reporting requirements under the Ministry of Climate Change and Environment and relevant competent authorities. This report is an early step toward structured emissions measurement, documentation and reporting readiness.

Zakh will not wait until external reporting is requested to build its emissions data systems. The practical near-term focus will be to maintain monthly records for electricity, fuel litres, water, waste, refrigerants, production output, supplier materials and logistics. These records will improve the quality of future disclosures and help support any applicable UAE climate reporting obligations as guidance and implementation requirements evolve.

CLIMATE LAW READINESS ACTIONS

01

Maintain a structured GHG inventory (Scope 1 and Scope 2 as a minimum) on a rolling monthly basis, rather than reconstructing it retrospectively.

02

Track regulatory guidance issued under Federal Decree-Law No. 11 of 2024 and by the Ministry of Climate Change and Environment as implementation details are published.

03

Ensure emissions and activity data are stored in an auditable format (dated source documents, clear calculation workings) to support any future verification or assurance requirements.

04

Build climate risk awareness into governance discussions at Board and management level as UAE climate-related reporting expectations develop.

20 SECTION TWENTY Future ESG Commitments & Roadmap

Zakh will use this first ESG report as the foundation for a more structured sustainability management system, strengthening ESG data collection, management review, supplier engagement and reporting systems during 2026. These commitments are intentionally practical and data-focused, because reliable ESG reporting depends on recurring controls and evidence.

COMMITMENT	TIMING	PURPOSE	OWNER / FUNCTION
Full-year 2026 ESG and GHG report	**Jan-Feb 2027**	Present complete 2026 calendar-year ESG and emissions data	Management / ESG coordination
Refined Scope 1 and Scope 2 baseline	2026 report cycle	Replace the initial Oct 2025-Apr 2026 baseline with full-year 2026 activity data	Finance / Operations
Fuel data improvement	Monthly in 2026	Collect actual litres, fuel type and vehicle-level records	Administration / Finance
Energy dashboard	Monthly in 2026	Track electricity and intensity per MW / panel produced	Operations / Production
Water tracking	Monthly in 2026	Confirm no-connection status or record all sources and usage	Operations / Facility
Waste tracking	Monthly in 2026	Track waste type, kg/tonnes, contractor, disposal route and certificate	HSE / Production
Supplier ESG program	2026	Collect supplier ESG information, country of origin, material data and transport details	Procurement / Quality
ESG governance structure	2026	Assign ESG responsibilities across Finance, HR, Production, Quality, HSE, Procurement and Legal	Management
UAE climate law readiness	Ongoing	Prepare emissions inventory and records for applicable UAE reporting requirements	Legal / ESG coordination
Bankability evidence pack	Ongoing	Maintain ESG documentation for banks, utilities, customers and project bids	Management / Finance

Figure 12. Future ESG roadmap, 2026 to early 2027.

Supplier ESG improvement roadmap

Supply-chain data is one of the largest gaps identified in this first report, and is expected to become increasingly material as Zakh's Scope 3 footprint is better understood. The roadmap below sets out the planned staged approach to building supplier ESG oversight.

01 · Early 2026

Issue supplier questionnaire

Issue the supplier ESG questionnaire to key suppliers on the approved supplier list.

- QUESTIONNAIRE ISSUED
- RESPONSE RATE TRACKED

02 · Mid 2026

Collect origin & logistics data

Gather country-of-origin, material and shipment-level transport data to improve Scope 3 accuracy.

- COUNTRY OF ORIGIN
- SHIPMENT WEIGHTS

03 · Beyond 2026

Consider supplier ESG audits

Scope responsible-sourcing screening and consider supplier ESG audits once a baseline is established.

- SOURCING SCREEN
- AUDIT SCOPE

Figure 13. Supplier ESG improvement roadmap, staged from questionnaire issue through activity-data collection to audit readiness.







Ongoing training and capability building supports the roadmap: reliable ESG reporting depends on recurring controls, competence and evidence.

21 SECTION TWENTY-ONE Data Limitations

This report is intentionally transparent about data limitations. The purpose is not to overstate maturity, but to establish a credible baseline and a clear path for improvement. The chart below shows how the October 2025 to April 2026 baseline used in this report relates to a complete calendar year; the detailed limitations are then listed by topic.

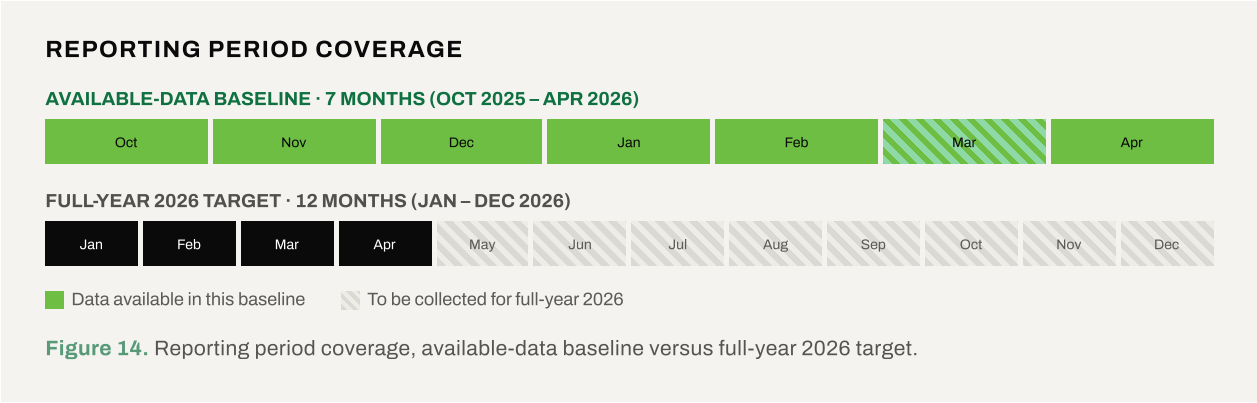


Figure 14. Reporting period coverage, available-data baseline versus full-year 2026 target.

The following limitations should be retained in the final report unless additional evidence is provided:

1 · The report is not a full-year operational baseline because commercial production commenced in January 2026 and full calendar-year 2026 data is not yet available.

2 · Scope 1 fuel emissions are estimated from AED spend because actual litres and fuel type were not available in the submitted fuel statement.

3 · Scope 2 electricity emissions are based on measured utility bills and a DEWA published proxy factor used for the RAK facility due to lack of a site-specific RAK emission factor.

4 · Scope 3 values are indicative screening estimates based on spend data and should not be used for target-setting without improved activity data.

5 · Waste quantities by type and disposal route were not fully available; future reports should include kg/tonnes and contractor documentation.

6 · Water consumption is reported based on available utility bills showing zero billed consumption; any alternative water sources should be confirmed by management.

7 · Supplier ESG data, supplier-specific emissions factors and transport tonne-km data were not available for this first report.

8 · Refrigerant leakage or top-up records were not identified and should be added to the 2026 data collection plan if relevant to the facility.

9 · No separate electricity bill was available for March 2026; the April-period bill (dated 27 Apr 2026) covers 18 March to 15 April 2026 and is treated as the April-period reading.

12 · Workforce, training and safety metrics are described narratively pending final confirmation of quantified HR and HSE KPIs by management.

Data limitations, status summary by topic

Electricity	Measured monthly utility bills for the RAK facility	HIGH
Chemicals	Hazardous chemical list, SDS and consumption workbook	MEDIUM
Water	Utility bills show zero billed; source confirmation pending	MEDIUM
Vehicle fuel	Estimated from AED spend; litres and fuel type not provided	LOW / MED
Waste	Spend-based only; kg/tonnes and disposal route not tracked	LOW
Scope 3 emissions	Indicative spend-based screening; not supplier-specific	LOW
Supplier data	Country of origin, material and transport data not yet collected	LOW
Workforce & HSE KPIs	Described narratively pending quantified HR and HSE metrics	NARRATIVE

Figure 15. Data limitations, status summary by topic.

WHY THIS MATTERS

A report that hides its limitations is less useful, and less credible, to banks, project counterparties and regulators than one that states them clearly. Each limitation listed above is paired with a specific FY2026 improvement commitment in Section 20.

RZ

FROM THE LEADERSHIP MESSAGES

"We are candid that we are still strengthening our data systems, including those related to energy consumption, greenhouse gas emissions, water use, waste management, and supplier ESG information."

RAUL ZAKHARYAEV · CEO & CHAIRMAN

22

Appendices

Supporting methodology, factor, data and reference detail underpinning the disclosures in the main body of this report: GHG methodology, emission factors, activity data, data limitations, future data collection templates, the evidence base reviewed, the 2026 KPI framework, and a glossary of ESG and GHG terms.

A · Methodology | B · Factors | C · Activity Data | D · Limitations | E · Data Collection | F · Evidence Base | G · KPI Framework | H · Glossary

APPENDIX A

GHG Methodology

Zakh's GHG inventory follows the general structure of the GHG Protocol Corporate Accounting and Reporting Standard for Scope 1 and Scope 2, and the GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard for the indicative Scope 3 screening. The boundary is set on an operational control basis, covering the RAK manufacturing facility only (see Section 7). The reporting period is October 2025 to April 2026, reflecting the period for which activity data was available following the start of commercial production in January 2026.

CALCULATION APPROACH BY SCOPE

- **Scope 1:** vehicle fuel AED spend is converted to estimated litres using UAE monthly E-Plus 91 pump prices, then multiplied by the UK Government 2025 petrol emission factor.
- **Scope 2:** measured electricity kWh from utility bills is multiplied by the DEWA published proxy grid emission factor (via Climatiq).
- **Scope 3:** spend data (in AED, converted to USD at 3.6725) is multiplied by EPA Supply Chain GHG Emission Factors v1.2, selected by best-available NAICS proxy category.

APPENDIX B

Emission Factors and Assumptions

ASSUMPTION	VALUE	SOURCE / RATIONALE
Reporting entity	ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC	Boundary document
Facility	Plot No. 26 and 56, Al Ghail Industrial Free Zone, Ras Al Khaimah, UAE	Utility bills and boundary document
Reporting period	October 2025 to April 2026 available data	Management direction; utility bills begin October 2025
Scope 2 electricity factor	0.4041 kgCO2e/kWh	DEWA published factor via Climatiq; proxy for RAK site
Scope 1 petrol factor	2.06916 kgCO2e/litre	UK Government GHG Conversion Factors 2025, petrol average biofuel blend, litres
Fuel price basis	UAE monthly E-Plus 91 pump price	Used only to estimate litres from fuel AED spend where litre data is missing
AED/USD conversion	3.6725	Fixed UAE dirham peg assumption
Scope 3 spend factors	EPA Supply Chain GHG Emission Factors v1.2, kgCO2e/2021 USD with margins	Used for indicative screening only
Water	Not quantified; no billed consumption in utility bills reviewed	Reported as no billed water consumption in available bills
Waste	Spend-based only; no kg/tonnes available	Commit to collecting waste quantities and disposal route in FY2026

APPENDIX C
Activity Data Summary

METRIC	VALUE	BASIS
Scope 1 estimated fuel litres	18,767 litres	Fuel AED spend converted using monthly UAE pump price assumption
Scope 1 emissions	38.83 tCO2e	UK Government 2025 petrol factor
Scope 2 electricity	199,530 kWh	Utility bills for RAK facility
Scope 2 emissions	80.63 tCO2e	DEWA published proxy factor 0.4041 kgCO2e/kWh
Scope 1 + 2 operational baseline	**119.46 tCO2e**	Available-data baseline
Indicative Scope 3 screening	476.56 tCO2e	Spend-based proxies; lower confidence
Screening total (S1+S2+S3)	**596.02 tCO2e**	Includes low-confidence Scope 3; not for target-setting
Billed water consumption	Not quantified; no billed consumption	Available utility bills

APPENDIX D
Data Limitations

See Section 21 for the full list of data limitations. In summary, the principal limitations relate to: partial-year (not full calendar-year) coverage; Scope 1 fuel estimated from spend rather than metered litres; Scope 2 based on a proxy rather than site-specific grid factor; Scope 3 presented as indicative spend-based screening only; and incomplete waste, water-source and supplier activity data.

MS

FROM THE LEADERSHIP MESSAGES

"These systems help guide day-to-day decision-making across production, quality assurance, maintenance, procurement, warehousing, and site operations."

MARINA STRATEVA · CHIEF OPERATING OFFICER

APPENDIX E

Future Data Collection Template

The table below sets out the minimum monthly data Zakh plans to collect from FY2026 onward, replacing estimated and spend-based figures with measured activity data wherever possible.

DATA CATEGORY	MINIMUM MONTHLY DATA REQUIRED	EVIDENCE TO RETAIN
Electricity	kWh, bill period, meter/account number, cost	Monthly utility bills
Fuel	Litres, fuel type, vehicle, date, cost, purpose	Fuel invoices / card reports
Water	m3 or gallons, source, bill/account, tanker records if any	Utility bills / supplier invoices / management confirmation
Waste	Waste type, hazardous status, kg/tonnes, contractor, disposal route	Waste manifests, contractor licence, disposal certificates
Production	Panels produced, MW produced, operating days, scrap/rework	Production logs and ERP reports
Materials	Material type, quantity, supplier, country of origin	BOM, purchase records, supplier declarations
Transport	Origin, destination, mode, weight, distance, Incoterms	Logistics invoices and shipping records
H&S	Incidents, near misses, training hours, toolbox talks, inspections	HSE registers and attendance records

APPENDIX F

Evidence Base Reviewed

ESG documentation checklist and evidence folders.

Organizational structure and reporting boundary document.

Electricity bills for Plot No. 26 and 56, Al Ghail Industrial Free Zone, RAK.

Fuel account statement for company vehicles.

Production output declaration and chemical consumption workbook.

Environmental, HR, governance, certification, production and finance evidence files.

ISO 9001, ISO 14001 and ISO 45001 certificates and supporting documentation.

Auditor report and financial statements.

ESG CAPEX, ESG OPEX, procurement, tax, insurance and training registers.

APPENDIX G

ESG KPI Framework for 2026

PILLAR	KPI	FREQUENCY	OWNER
Environment	Electricity consumption (kWh) and intensity (kWh/MW produced)	Monthly	Operations
Environment	Scope 1 + Scope 2 GHG emissions (tCO2e)	Monthly / rolled up quarterly	Finance / Operations
Environment	Waste generated by type (kg/tonnes) and disposal route	Monthly	HSE / Production
Environment	Water source confirmation and consumption (m3)	Monthly	Operations / Facility
Social	Lost-time incident rate (LTIR) / total recordable incident rate (TRIR)	Monthly	HSE
Social	Training hours per employee	Quarterly	HR
Social	Grievance cases raised and closed	Quarterly	HR
Governance	Governance policy attestation completion rate	Annual	Legal / HR
Governance	Whistleblower / conflict-of-interest cases logged and closed	Quarterly	Legal
Quality	First-pass yield, defect rate, complaint closure time	Monthly	Quality
Supply chain	Supplier ESG questionnaire response rate	Quarterly	Procurement

A recurring KPI framework moves ESG reporting from a one-time document exercise to a monitored management process.

EE

FROM THE LEADERSHIP MESSAGES

"The more consistently these activities are measured and documented, the stronger our ability becomes to improve performance and provide reliable information to customers, banks, project partners and regulators."

EDGAR ELDAROV · DIRECTOR OF OPERATIONS

APPENDIX H

Glossary of ESG / GHG Terms

ESG
Environmental, Social and Governance, a framework for assessing non-financial performance and risk.

GHG
Greenhouse gas, gases such as CO2 that contribute to climate change.

Scope 1
Direct GHG emissions from sources owned or controlled by the reporting company (for example company vehicle fuel).

Scope 2
Indirect GHG emissions from the generation of purchased electricity, steam, heating or cooling consumed by the company.

Scope 3
All other indirect GHG emissions in a company's value chain, both upstream and downstream (for example purchased goods, transport, waste).

tCO2e
Tonnes of carbon dioxide equivalent, a standard unit combining different greenhouse gases by their global warming potential.

Emission factor
A published coefficient used to convert activity data (for example kWh, litres, USD spend) into GHG emissions.

Operational control boundary
A GHG accounting boundary that includes operations the reporting company has the authority to direct.

Spend-based method
A Scope 3 estimation method that multiplies financial spend by an industry-average emission factor, used when supplier-specific data is unavailable.

Data quality / confidence rating
A qualitative label (for example High, Medium, Low) indicating how directly a reported figure is supported by measured data versus estimation.

ISO 9001 / 14001 / 45001
International management system standards covering quality, environmental management, and occupational health and safety, respectively.

Materiality assessment
A process for identifying the ESG topics most relevant to a company's business and stakeholders.

Available-data baseline
A GHG or ESG baseline built from the data available at the time of reporting, rather than a complete full-period dataset.

AD

FROM THE LEADERSHIP MESSAGES

“From a commercial standpoint, the most important value of this report is transparency.”

ARON DAVIDOV · CHIEF COMMERCIAL OFFICER

END OF REPORT



Measured today. Reset with the full year.

This available-data baseline covers October 2025 to April 2026. The full-year 2026 ESG and GHG report will follow in January to February 2027, using complete calendar-year activity data.

ZAKH Renewable Energy and Engineering Manufacturing FZ-LLC
Trading as FAERS · Al Ghail Industrial Free Zone, Ras Al Khaimah, United Arab Emirates